

**BEFORE THE
FEDERAL MARITIME COMMISSION**

Docket No.: 16-16

MAVL CAPITAL, INC.,
IAM & AL GROUP INC., and MAXIM OSTROVSKIY,

Complainants,

– vs. –

MARINE TRANSPORT LOGISTICS, INC. and DIMITRY ALPER,

Respondents.

COMPLAINANTS' REMAND BRIEF

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Complainants MAVL CAPITAL, INC., IAM & AL GROUP INC., and MAXIM OSTROVSKIY (collectively “complainants”), by their counsel, Marcus A. Nussbaum, Esq. hereby respectfully submit their Remand Brief pursuant to the Chief Administrative Law Judge’s (“ALJ”) Remand Scheduling Order of December 10, 2020 as amended on February 5, 2021.

I. INTRODUCTION AND RELEVANT PROCEDURAL BACKGROUND

On October 29 2020, the Federal Maritime Commission (FMC) issued a Memorandum Opinion and Order (the “Order”) which addressed Complainants’ exceptions to the Administrative Law Judge’s *sua sponte* dismissal of claims alleging that Respondents Marine Transport Logistics, Inc. (“MTL”) and Dmitry Alper violated 46 U.S.C. §§ 41102(c) and 41104(a)(3) and (10). The claims were dismissed pursuant to the ALJ’s Initial Decision Partially Dismissing the Complaint of January 17, 2017 (the “ID”).

The dismissed claims relate to a 2006 Mercedes stored in MTL’s New Jersey warehouse and three motorcycles stored by a competitor non-vessel-operating common carrier (“NVOCC”). The Order remanded the section 41102(c) claim regarding the Mercedes for further proceedings. In addition, the claim regarding the Porsche had been stayed pending the Commission’s Order.

The Presiding Officer has ordered supplemental briefs addressing the issues on remand from the Commission, namely: whether Complainants have proven all of the elements of their § 41102(c) claim under the Commission’s interpretative regulations at 46 C.F.R. § 545.4 with respect to the Mercedes and Porsche. As explained below, Complainants have proven all of the elements of their § 41102(c) claim in that they have established that: a) respondents MTL and Alper (“Respondents”) were acting as an NVOCC with respect to the Mercedes and Porsche; b) Respondents’ acts and omissions with regard to the Mercedes and Porsche that violated the Shipping Act are occurring on a normal, customary, and continuous basis; c) Respondents’ acts

and omissions with regard to the Mercedes and Porsche complained of herein are directly related to and connected with the receiving, handling, storing, and/or delivering of property; d) Respondents' acts and omissions with regard to the Mercedes and Porsche complained of herein are unjust and unreasonable; and e) Respondents' acts and omissions with regard to the Mercedes and Porsche complained of herein are the proximate cause of complainants' claimed loss.

As explained herein, complainants are the owners of the Mercedes and Porsche. The Mercedes was imported to the United States by complainants, and on or about December 3, 2012, Complainants requested that MTL act as Complainants' "receiving agent" and store the Mercedes, imported to the U.S. by Complainants so that maintenance could be performed on the vehicle after which it would subsequently be shipped overseas. As explained in the Order, MTL accepted delivery of the Mercedes at its storage facility in New Jersey in early December of 2012.

When MTL accepted delivery of the Mercedes Mr. Ostrovskiy told MTL that MAVL would eventually have the car shipped back to Germany after inspecting it and ordering repair parts. The Porsche was also purchased by complainant IAM from a non-party named "AA Insurance Auto Auctions" and delivered to MTL's storage facility on or about April 22, 2013. Complainant IAM purchased the Porsche to be shipped overseas via MTL and sold to an overseas customer, and was specifically destined for the port of Kotka, in Finland. For this car, IAM subsequently received an invoice from Royal Finance Group, Inc. ("RFG") who was acting on behalf of MTL, which indicated that RFG was charging amounts for, among other things, the delivery, shipping to Kotka in the sum of \$700.00, and a commission.

As explained herein, and after MTL was able to place its claws on this cargo and obtain possession, custody and control over the cars, MTL proceeded with its normal, customary and regular course of business of unlawful activity regarding the export of the cars, and ultimately exported them to Dubai without complainants' authorization and sold them. Complainants have alleged that MTL unlawfully exercised a maritime lien over the cars for charges unrelated to the export of the cars, in violation of the Shipping Act. Complainants have also alleged that MTL misdelivered the cars to Dubai without complainants' authorization.

MTL purports to have exercised a maritime lien over the cars for monies allegedly due and owing for the storage and alleged unpaid freight for the cars, however, despite having been served with discovery demands demonstrating proof that MTL ever provided complainants with invoices for these storage charges and alleged unpaid freight for the cars, no such proof was ever provided.

To the extent that MTL purported to have exercised a maritime lien over the cars, MTL stated under oath that the cars were exported to Dubai for sale by Car Express & Import Inc. "...pursuant to Clause 15 of the MTL House Bill of Lading..." and that the Mercedes "...was sold pursuant to Clause 15 of the MTL House Bill of Lading...for unpaid freight and other charges owed by plaintiffs...". MTL has also offered a version of alternate facts regarding the export of the cars, wherein Aleksandr Solovyev (owner of Car Express & Import Inc. and husband of Alla Solovyeva of MTL) explained under oath in a deposition that the cars were exported to Dubai at the request of a customer, and that he was shipping them as part of "a business for one of the customers in [the] U.S.A.¹ [who asked Solovyev] to sell them in Dubai..." and that "It was a customer who was shipping [the Porsche] and Mercedes...".

¹ As set forth herein, and with regard to the shipping of the Mercedes and Porsche, the only customers of MTL located in USA were IAM & AL GROUP INC. and/or Maxim Ostrovskiy.

The documents on the record in this matter demonstrate that there was no “customer” who requested that the cars be exported to Dubai and sold. Complainants did not request that MTL export the cars to Dubai to be sold. Additionally, while the MTL House Bill of Lading indicates that the cars were consigned to Middle East Asia, FZE (“MEAA”) in Dubai, the owner of MEAA (to wit: Mr. Alexander Safonov) has stated under oath that MEAA neither purchased the cars nor ever wired monies to MTL or its related entities (such as Royal Finance Group Inc. [“RFG”] also owned by Solovyev) for the purchase of the cars, and that MEAA’s only involvement with the cars were receipt, repair and storage of the cars in Dubai, at MTL’s direction and request.

The documents on the record in this matter demonstrate that MTL provided MEAA with false proof of ownership of the cars (specifically invoices), wherein Car Express & Import Inc. (“Car Express”) had purported to have purchased the cars (owned by complainants as stated above), from the auto auction known as “Copart”. As explained below, and in response to a Subpoena, Copart has established that the invoices purporting to show that Copart allegedly sold the cars to Car Express, are fake.

As explained in the deposition of Mr. Alper (who was the Director of Operations of MTL at the time that the cars were exported to Dubai), the export of the cars to Dubai, was, at the very least, a misdelivery. Mr. Alper also explained that any purported lien exercised by MTL could not simply materialize out of thin air, and that MTL never undertook to engage in any legal proceedings by which it could lawfully establish a lien over the cars.

The documents on the record in this matter demonstrate that despite complainants’ ownership of the cars and MTL’s knowledge that complainants owned the cars, that MTL electronically filed paperwork with the United States Department of Commerce, Census Bureau,

falsely indicating that Car Express & Import Inc. was allegedly the owner of the cars at the time that they were shipped to Dubai. In that paperwork, MTL (via its owner Alla Solovyeva) also made multiple false statements under penalty of perjury to the United States Government regarding the value of the cars, the ultimate consignee, and the title numbers on the Certificates of Title for the cars.

For all of these reasons, as well as for the additional reasons established via the findings of fact set forth below, it is respectfully submitted that complainants have met their burden to prove that MTL violated 46 U.S.C. §§ 41102(c) under the Commission's interpretative regulations at 46 C.F.R. § 545.4 with respect to the Mercedes and Porsche.

II. PROPOSED FINDINGS OF FACT ON REMAND

The following proposed Findings of Fact on Remand are set forth below for the Presiding Officer's consideration in addressing the issues on remand from the Commission, and are taken from various sources on the record herein, including the Findings of Fact in the ID, the evidence set forth on the Commission's docket in this matter and FMC Docket No.: 15-04, and all other permitted discovery identified in the Presiding Officer's Orders of October 30, 2020 and December 10, 2020 (to wit: discovery from the matters of *MAVL Capital Inc. et al. v. Marine Transport Logistics Inc. et al.* [U.S.D.C. – D.N.J. Docket No.: 1:13-cv-07110-SLT-RLM] and *World Express & Connection, Inc. v. Crocus Investments, LLC et al.* [U.S.D.C. – D.N.J., 2:15-cv-08126-KM-MAH]). The documents relied upon are Bates numbered as having been previously produced by the undersigned or by MTL's former counsel (Messrs. Steven Vengrow, Esq. and Eric Chang, Esq.) prior to them having been relieved as counsel for MTL in all of the related litigations in or about May of 2018 (and in this matter specifically on May 2, 2018), or the documents contain a date/time stamp and docket number from PACER to the extent they

were placed on the Federal Court docket. In an effort to avoid a voluminous appendix, and to the extent documents are not annexed hereto, specific references are provided below to the FMC Dockets or Federal Court Dockets where specific documents may be found.

Since it is anticipated that respondents' response will attempt to incorporate new documents which were never previously produced or likely created on respondents' computer last night (as has been their custom and practice) in an attempt to mislead the Presiding Officer with no bates number, no PACER filing information, nor other proof of having been produced in the past litigations), it is respectfully requested that if this should occur, those documents should be stricken from the record.

1. The Commission reversed the dismissal of complainants' § 41102(c) claim regarding the Mercedes and remanded that claim for further proceedings, and otherwise affirmed the ID in all other respects. Commission Order at p. 2.
2. MTL is licensed by the Federal Maritime Commission as a non-vessel-operating common carrier, license number 018709. (See, Official notice of Federal Maritime Commission records, <http://www2.fmc.gov/oti/NVOCC.aspx>)
3. MTL is located at 63 New Hook Road, Bayonne, NJ 07002. (See, Official notice of Commission records, <http://www2.fmc.gov/oti/NVOCC.aspx>).
4. The Title Page of MTL's published tariff states that it is located at 63 Hook Road, Bayonne, New Jersey, with tel. number 201-858-8600 and fax number 201-858-8607. (Third-Party Plaintiffs' Statement of Material Facts In Support of Their Cross-Motion for Summary Judgment at ¶ 4 and Exhibit "D" thereto in the matter of World Express & Connection Inc. v. Crocus Investments, LLC. et al., [U.S.D.C. – D.N.J. Docket No.: 2:15-cv-08126-KM-MAH], annexed hereto as **Appendix "A" and "B"**).
5. MTL is an international shipping company, providing freight forwarding and logistics services to customers on a worldwide basis. (See, Appendix "A" at ¶ 5 and Exhibit "E" thereto at ¶ 11 [said exhibit is annexed hereto as **Appendix "C"**]).
6. The range of services which MTL provides to its customers includes ocean freight forwarding, air freight forwarding, cargo warehousing, customs clearance and cargo consolidation services. (See, Appendix "A" at ¶ 5 and **Appendix "C"**).

7. Alla Solovyeva uses the email address alla@mtlworld.com. (See, Appendix “A” at ¶ 14 and Exhibit “EE” thereto [said exhibit is annexed hereto as **Appendix “D”**], Page 26 of 34 PageID: 5333).
8. On July 18, 2014 the Commission published a notice indicating that the qualifying individual on the NVOCC VADIM A.K.A. DIMITRY ALPER President (QI) a copy of which is annexed hereto as **Appendix “E”**.
9. Respondent MTL is licensed by the Commission as a non-vessel-operating common carrier, license number 018709. See, Initial Decision on Remand (FMC Docket No.: 15-04), dated December 9, 2020 (“Crocus Remand ID”) at p. 8, FF 8.
10. Alla Solovyeva is the owner of MTL. See, Crocus Remand ID at p. 8, FF 9.
11. Solovyeva is the sole owner, officer, and director of Car Express & Import, Inc. (“Car Express”). See, Crocus Remand ID at p. 8, FF 11.
12. Solovyeva is the sole owner, officer, and director of Respondent Royal Finance Group, Inc. (“RFG”). See, Crocus Remand ID at p. 8, FF 9.
13. Solovyeva is the owner, officer, and director of World Express & Connection, Inc. (“World Express”). See, Crocus Remand ID at p. 8, FF 13.
14. World Express is a warehouse company providing loading and storage services for vehicles, boats, and other cargo, including for ocean transportation from the United States to foreign ports. See, Crocus Remand ID at p. 8, FF 15.
15. World Express is located at 63 New Hook Road, Bayonne, NJ 07002. See, Crocus Remand ID at p. 8, FF 16.
16. MTL’s tariff provides that MTL’s container freight station/container yard (“CFS/CY”) “may be a designated warehouse. Shipper at its own expense, will deliver its vehicle to [MTL’s] designated warehouse for loading into the container for movement to the U.S. load port.” See, Crocus Remand ID at p. 8, FF 17.
17. MTL uses World Express as its CFS/CY. See, Crocus Remand ID at p. 8, FF 18.
18. At times, Solovyev or one of his companies acts as agent for MTL. See, Crocus Remand ID at p. 8, FF 19.

19. At all relevant times, “MAVL Capital, Inc.”, “IAM&AL GROUP” and Maxim Ostrovskiy used the email address of mcyllic@gmail.com. (See, Declaration of Dmitry Alper from the matter of *MAVL Capital Inc. et al. v. Marine Transport Logistics Inc. et al.* [U.S.D.C. – D.N.J. Docket No.: 1:13-cv-07110-SLT-RLM]) at pages bates nos.: DEF0268 – DEF271, annexed hereto as **Appendix “F”**. See also, Supplemental Responses of Defendants/Third-Party Plaintiffs from the matter of *World Express & Connection, Inc. v. Crocus Investments, LLC et al.* [U.S.D.C. – D.N.J., 2:15-cv-08126-KM-MAH], annexed hereto as **Appendix “G”** at pages bates nos.: DEF0756-DEF0758.
20. On May 10, 2013 at 9:46 AM, “Natalia D” on behalf of MTL sent the following email to IAM&AL GROUP at email address: mcyllic@gmail.com, with subject line: “06 mb sl65 v: 113072 STORAGE FEE”

“Your vehicle is stored in our facility for more than half a year. Invoice for storage for period from 05/04-06/05 alone with the total outstanding balance are attached. Please advise when you are planning to arrange payment for total storage outstanding and pick up your vehicle”

Said email had an attached MTL “Open Invoices” List with a Total amount of \$900.00, identifying MTL Invoice Nos.: 18091, 19098, 20622, 23343, 23344, and 24261 for \$150.00 each together with a copy of final invoice No.: 24261 in the amount of \$150.00. See, **Appendix “F”** at pages bates nos.: DEF0268-DEF0271.

21. There is no proof that the five (5) above referenced MTL Itemized Invoice Nos.: 18091, 19098, 20622, 23343 and 23344, were ever actually provided to complainants.
22. On August 14, 2015 at 12:12 PM, Aleksei Igumnov on behalf of MTL sent an email to “MAVL Capital, Inc.” at mcyllic@gmail.com. See, **Appendix “GG”** at pages bates nos.: DEF0756-DEF0758.
23. The August 14, 2015 email identified above stated as follows:

“Dear customer, your invoice is over 6 months past due, please remit payment. Please be advised that administrative and legal fees will apply.

If this matter will not be settled within 7 business days, cargo shall be auctioned as abandoned to cover above mentioned fees as well as storage and handling.

Your prompt response is highly requested.

Management.

Enclosed is the invoice for inland Charge facilitated by MTL via 3rd party carriers.

Please proceed with immediate payment in order to avoid shipment delays and late fees.

We look forward to serving you in the future”.

Said email had an attached MTL “Invoice 24141” for a 2011 Porsche Panamera Vin# WP0AA2A75BL07399 (See, **Appendix “G”** at pages bates nos.: DEF0756-DEF0758).

24. Defendants had been involved in the creation of false documents purporting to indicate the sale of the subject Mercedes and Porsche to MEAA. See, Appendix “A” at p. 22, fn. 8. See, also, Appendix “A” at pp. 24-27, ¶¶ 61-71, and Exhibits “DD”, “EE”, “FF”, “GG” and “HH” thereto (which are included herein as **Appendix “H”, “D”, “I”, “J”, and “K”**). As set forth in Appendix “A”: (1) with specific regard to the subject Mercedes and Porsche, the auto auction warehouse known as “Copart”, has confirmed that the Copart invoice tendered by MTL/Solovyev to MEAA, Crocus and Mr. Safonov (purporting to indicate Car Express’ purchase of the Mercedes and Porsche from Copart) is a fake document and is not part of Copart’s business records. Id. - - the Mercedes and Porsche were never part of Copart’s inventory because the title holder and owner of the cars was Mr. Maxim Ostrovskiy and/or one of Mr. Ostrovskiy’s companies Id. (this is confirmed by Mr. Alper’s testimony below); (2) respondent Alper has testified that the Shippers Export Declaration which MTL filed with the U.S. Department of Commerce through the Automated Export System (“AES”) for export of the Mercedes and Porsche to Dubai which indicates Car Express as the U.S. Principal Party in Interest (“USPPI”) (to wit: the “owner”), contains false information and that the USPPI could not have been Car Express because the certificates of title for the subject cars identified MAVL Capital Inc. and Maxim Ostrovskiy as the owners (see below); and (3) Mr. Solovyev represented that the cars were imported to Dubai at the request of a customer - - specifically, in his deposition on November 20, 2015 in the matter of Crocus Investments, LLC et al., v. Marine Transport Logistics, Inc., et al. (FMC Docket No.: 15-04) and with respect to the Porsche and Mercedes, he testified that he was shipping them as part of “a business for one of the customers in [the] U.S.A. [who asked Solovyev] to sell them in Dubai...” and that “It was a customer who was shipping [the Porsche] and Mercedes...”. (See, **Appendix “A”** at ¶ 73 and Exhibit “JJ” thereto which is provided here as **Appendix “L”** at p. 89). In contrast to that testimony, third-party plaintiffs Safonov and MEAA explain in their Certification of April 13, 2016 that in Dubai, after the vehicles were repaired, they were issued a new title. This allowed defendants to sell vehicles with a clean title to third-parties. (See, **Appendix “A”** at ¶ 63 and **Appendix “D”**).
25. The Certification of April 13, 2016 speaks for itself and the text of the Certification is not disputed (Appendix “D”). In the Certification, Mr. Safonov explains that: (1) he had read and reviewed an email, dated February 23, 2015 from Messrs. Vengrow and

Chang on behalf of respondents herein, together with attachments including a copy of a bank statement and an invoice from RFG; (2) the representations made in paragraph “4” of the email from respondents’ counsel are false, to wit: that RFG allegedly sold the Mercedes to MEAA for the amount of \$3500.00 (this paragraph also makes reference to an additional \$1,450.00 paid toward a motorcycle purchase, unrelated to this matter, for a total sum of \$4950.00 paid by MEAA to RFG. Paragraph “4” of the email from respondents’ counsel also makes reference to an invoice from RFG to MEAA (#347110) purporting to indicate a sale of the Mercedes to MEAA, and Mr. Safonov in his Certification explains that at no time did MEAA ever receive invoice #347110 from the third-party defendants and at no time did MEAA ever purchase the Mercedes from defendants herein. Mr. Safonov additionally explains that MEAA’s only involvement with this vehicle was repair and storage of the vehicle in Dubai, UAE at defendants’ direction and request. Mr. Safonov further explains that with regard to the bank statement provided by third-party defendants and their counsel (attached to the February 23, 2015 email at page 11), which indicates a wire in the amount of \$4950.00 from Crocus to RFG on December 6, 2013, that it appears as though either third-party defendants or their counsel have altered this document to show that this wire transfer was made on account of MEAA - - this is also a false representation of fact by the respondents and/or their counsel. Specifically, MTL had alleged in the MAVL Federal Court litigation that this wire of \$4950.00 was payment for the Mercedes and motorcycle purchase and this is untrue. MTL has alleged before the Commission (Docket No. 15-04) that this wire of \$4,950.00 was actually for the purchase of a boat trailer (with VIN # LW95141 – 37), which complainant Crocus purchased from the respondents herein for the amount of \$4,950.00. On or about December 3, 2013, defendant RFG provided Crocus with an invoice (# 1204 AS) for the sale of the boat trailer. See, **Appendix “D”** at ¶¶ 1-14.

26. Additionally, Mr. Safonov testified before the FMC (in Docket No.: 15-04 that Solovyev had shipped two automobiles, a Mercedes and a Porsche to Middle East Asia for sale in Dubai for “another customer” (for repair and sale in Dubai). See, Initial Decision in the Matter of Crocus Investments, LLC et al. v. Marine Transport Logistics, Inc. et al., dated June 17, 2016 at p. 6 and at p. 19 (FF 101-102).
27. Solovyev represented that the cars were imported to Dubai at the request of one of the customers in [the] U.S.A. Specifically, Solovyev testified, on November 20, 2015 that with respect to the Porsche and Mercedes, that he was shipping them as part of “a business for one of the customers in [the] U.S.A. [who asked Solovyev] to sell them in Dubai...” and that “It was a customer who was shipping [the Porsche] and Mercedes...to sell...and return money back to...the United States ...”. See, **Appendix “L”** at p. 89.

28. During his deposition, Aleksandr Solovyev admitted that he did not purchase the Mercedes nor did he purchase the Porsche:

Q. But do you buy the cars for them and did you charge them for them?

A. No, it's not the business. It was a business for one of the customers in U.S.A....

See, **Appendix "L"** at p. 89.

29. The owner of Porsche and Mercedes was IAM & AL Group/MAVL Capital, Inc./Maxim Ostrovsky and Mr. Ostrovskiy never requested that anyone perform any repairs on his cars anywhere, including Dubai. See, generally, Complainants' Response to the Commission's Order to Show Cause Why the Complaint should not be Partially Dismissed, and Certification of Maxim Ostrovskiy on this Docket, filed on October 3, 2016.

30. Respondent Alper (who was the Director of Operations and General Counsel of MTL during the relevant time period) explained during his deposition that MTL, at least misdelivered the cars owned by Ostrovskiy (See Mr. Alper's deposition testimony cited below). Also, as set forth above, and with specific regard to the subject Mercedes, the auto auction warehouse known as "Copart", has confirmed that the Copart invoice tendered by MTL/Solovyev to MEAA (purporting to indicate Car Express' purchase of the Mercedes and Porsche from Copart) is a fake document and is not part of Copart's business records. Additionally, as set forth above, the Mercedes was never part of Copart's inventory because Maxim Ostrovskiy imported that car from Germany (which is how it came to be under the possession custody and control of MTL).

31. In his deposition, Dimitry Alper testified that a lien on the subject automobiles (warehouse lien or otherwise) could not simply materialize out of the air at the whim of MTL because there are legal procedures that MTL was required to follow in order to assert a lien against the subject cars in its possession prior to such cargo being confiscated and sold, and/or exported overseas – put simply MTL could not sell what it never owned:

Q. So, if we assume, based on the titles, that the cars belong to IAM and that other company, Manhattan, and the titles were never changed, who's the owner of the cars when they're shipped?

A. The respective owners, IAM and Manhattan.

Q. Is it possible to change the owners of the time before shipment?

A. Change how?

Q. I'm trying to think of any way to change ownership.

- A. Unless you went through court and got a lien or you paid them or, no, I don't believe so.

(See, **Appendix “A”** at ¶ 57 and Exhibit “C” thereto [annexed hereto as **Appendix “M”**] at p. 71/ln. 3-14).

32. As cited below, Mr. Alper (who was the Director of Operations and General Counsel of MTL during the relevant time period) explained during his deposition that MTL simply stole the cars from Ostrovskiy and that the cars were at least, “misdelivered”. The Maersk Bill of Lading for the cars states as follows: “These commodities...were exported from the US in accordance with the Export Administration Regulations. (See, the MAERSK BOL annexed as Exhibit “11” to respondents’ Second Motion for Summary Judgment in the federal court litigation in matter of Crocus, supra, a copy of which is annexed hereto as **Appendix “N”**). In his deposition cited below, Mr. Alper testified that pursuant to Export Administration Regulations that Maxim Ostrovskiy and/or Manhattan Auto Brokers Inc. as last owner in the United States of the subject Porsche and the Mercedes should have been listed (but were not) as U.S. Principal Party in Interest (“USPPI”) on the Shipper’s Export Declaration filed by MTL with the U.S. Department of Commerce (through the Automated Export System “AES”) at the time of the export of the car (and the AES filing number X20130821010350 is listed on the Maersk BOL).
33. With specific regard to the misrepresentations made to MEAA regarding MTL’s alleged ownership of the subject Mercedes and Porsche at the time of export, the Presiding Officer is respectfully referred to MTL’s Amended Response to Plaintiffs’ Interrogatories from the matter of *MAVL Capital Inc. et al. v. Marine Transport Logistics Inc. et al.* (U.S.D.C. – D.N.J. Docket No.: 1:13-cv-07110-SLT-RLM) (See, Appendix “A” at ¶ 48 and Exhibit “V” thereto which is annexed hereto as **Appendix “O”** at Bates Nos. DEF0227-DEF0232) wherein Alla Solovyeva offers testimony under oath regarding the Automated Export System (AES) Shipment Record filed by MTL with the U.S. Department of Commerce for the subject Mercedes and Porsche. She explains, *inter alia* as follows: “The USPPI for the 2006 Mercedes SL65 and 2011 Porsche Panamera was listed as Car Express and Import Inc...” (See Bates No. DEF0228).
34. The AES Shipment Record referenced above and filed by MTL with the U.S. Department of Commerce lists Alla Solovyeva as the contact for MTL (which is listed as the freight forwarder for the shipment of the subject Mercedes and Porsche from the United States to Dubai. The AES Shipment Record was filed by MTL with the U.S. Department of Commerce, and a sworn verification as to the truth of the information contained therein under penalty of perjury was digitally “signed” by Alla Solovyeva upon filing. (See **Appendix “O”** at bates No.: DEF0232).

35. The Presiding Officer is referred to MTL's Response to Plaintiffs' Interrogatories from the matter of *MAVL Capital Inc. et al. v. Marine Transport Logistics Inc. et al.* (U.S.D.C. – D.N.J. Docket No.: 1:13-cv-07110-SLT-RLM) (See, Appendix "A" at ¶ 50 and Exhibit "W" thereto which is annexed hereto as **Appendix "P"** at bates Nos. DEF0243-DEF0250), wherein Alla Solovyeva states under oath in response to interrogatory #2 as follows: "The 2006 Mercedes SL65 was sold for \$3,800 in Dubai".
36. In MTL's Response to Plaintiffs' Interrogatories identified above, in response to interrogatory #3, Alla Solovyeva states under oath as follows: "the 2006 Mercedes SL65 VIN#3072, 2011 Porsche Panamera VIN#7399...were exported to Dubai, UAE for sale by Car Express & Import Inc. pursuant to Clause 15 of the MTL House Bill of Lading ...the 2011 Porsche Panamera VIN#7399 and 2010 Bobcat are currently in storage in Dubai, UAE. The 2006 Mercedes SL65 VIN#3072 was sold pursuant to Clause 15 of the MTL House Bill of Lading...for unpaid freight and other charges owed by plaintiffs". See, **Appendix "P"** at bates No.: DEF0245.
37. In MTL's Response to Plaintiffs' Interrogatories identified above, in response to interrogatory #4, Alla Solovyeva states under oath as follows: "Authorization for the export of the vehicles was given by plaintiffs orally and in writing via email...". See, **Appendix "P"** at bates No.: DEF0245.
38. The complete section of MTL's Tariff applicable to the Mercedes and Porsche can be Found in the Appendix to Complainants' Proposed Findings of Fact of January 15, 2016 (Document 12) in FMC Docket No.: 15-04, at pages Bates Nos.: CX 178 – CX 179, and reads as follows:

C. WAREHOUSE STORAGE - VEHICLES (C)

Carrier's CFS/CY may be a designated warehouse.² Shipper, at its own expense, will deliver its vehicle to the Carrier's designated warehouse for loading into the container for movement to the U.S. load port.

As part of the warehouse storage and handling of the vehicles:

(i) shipper will be entitled to 30 days free storage starting from the date of arrival of the vehicle at the warehouse in order to allow time to provide the Carrier with the vehicle title, absent which the vehicle will not be loaded into a container;

(ii) if after 30 days the title to a vehicle has not been presented by the shipper to the Carrier, the shipper has the option to either retrieve its vehicle or allow the vehicle to remain stored at the warehouse pending the Carrier's receipt of the title; and

² See, ID, dated June 17, 2016 in the matter of Crocus, *supra*, (FMC Docket No.: 15-04) at p. 12, FF# 27 explaining that MTL used World Express as its CFS/CY.

(iii) shipper, during this 30 day free period and after, will remain liable for all applicable warehouse charges as set out in the warehouse's Vehicle Receipt and Inspection Sheet ("Vehicle Receipt") provided to shipper or its agent upon the warehouse receiving the vehicle.

39. In her deposition, Raya Bakhirev testified that the World Express Vehicle Receipt for the subject Mercedes was not a fraudulent document, that it is a warehouse receipt, and that World Express accepted vehicles from customers to be shipped by MTL:

Q. So is your position that this is not a real or fraudulent document from WEC?³

A. I think that this is a real document, but as regard to this note, but I believe that this is a real document. This is not a fraudulent document. But that individual might have made a mistake because *customers bring cars to be shipped by MTL...*

(See, Appendix "A" and Exhibit "B" thereto [which is provided here as **Appendix "Q"**] at p. 89/ln. 5-13).

40. With regard to the subject Warehouse Receipt (Appendix "R"), Raya Bakhirev also testified that: "...customers bring cars to be shipped by MTL...". See, Appendix "Q" at p. 89/ln. 8-15.

41. During discovery in this matter, MTL failed to provide any ***proof that the MTL*** warehouse's Vehicle Receipt and Inspection Sheet ("Vehicle Receipt", Appendix "R") for the Mercedes and Porsche ***was actually provided to complainants***.

42. In his deposition, Dimitry Alper testified that customers of MTL were allowed to verbally provide shipping instructions for export of automobiles:

A. As far as I remember, this was the policy throughout my time there. If you're a first-time customer, you fill out something along the lines of a new client registration form, just your basic information, name, address, stuff like that, tax ID. And then you fill out an order form, which also doubles as a Power of Attorney that you allow MTL to ship your car on your behalf, from where to where, who the contact will be, value of the car, VIN number, et cetera.

Q. Can an order be placed verbally or only written at MTL in your experience?

A. From my experience, it could be placed verbally. It shouldn't be, but it was.

Q. How was it done verbally?

³ The warehouse receipt (document) that Ms. Bakhirev was being questioned on was marked as Exhibit "7" during her November 15, 2017 deposition (annexed hereto as **Appendix "R"** herein).

A. A client can come in talk to somebody, call somebody at the company. Once again, I try to stay away from that, but I know it's happened.

(See, Appendix "A" at ¶ 54 and Appendix "M" at p. 19/ln. 7-16, 21-25; p. 20/ln. 1-3).

43. The March 4, 2014 Declaration of Dimitry Alper states, at ¶ 2 as follows: "I am fully familiar with the facts and circumstances of this case and make this declaration on personal knowledge." See, Appendix "F" and documents annexed thereto, bates nos.: DEF0261 – DEF0299 on which Mr. Alper's testimony is based upon personal knowledge.

44. In his deposition, Dimitry Alper testified that MTL provided a defective MTL House Bill of Lading purporting to indicate Andrey Tretyakov as the shipper of the subject Mercedes, which contained illegitimate information including a bogus AES XTN/ITN Number:

Q. Take a look at the second document, 0259, Defendant Bates.⁴

A. This one?

Q. The second document from Exhibit-4.

A. Uh-hum.

Q. Do you see where it has XT[N] number?

A. I do.

Q. Do you know what that XT[N] number is or do you know what XT[N] number stands for?

A. No idea.

Q. Is IT[N] and XT[N] used interchangeably in the field?

A. No idea.

Q. Based on your understanding of the IT[N] or the way that I just previously explained it to you, do you believe that that is a legitimate number based on --

A. No, it's not.

Q. Why not?

A. It's sequential, one through nine.⁵

⁴ The document referred to is an MTL Bill of Lading produced by MTL and is bates numbered DEF0259 and was marked as part of exhibit "Alper-4" during Mr. Alper's deposition and is also annexed hereto as **Appendix "S"**.

(See, Appendix “M” at p. 44/ln. 22-25; p. 45/ln. 1-17)

45. In his deposition, Dimitry Alper testified that MTL’s contention that Maxim Ostrovskiy was not the owner of the subject Mercedes during the time of the ocean transportation of the car (and that it was rather MTL that was the owner), and that MTL had allegedly confiscated and sold the Mercedes pursuant to a purported warehouse lien prior to export, is not consistent with the fact that between June of 2013 and March of 2014, MTL reduced the amount allegedly outstanding for the Mercedes from \$2354 to \$900 and also changed the name of the customer in its balance statement from “IAM & AL Group, Inc.” to “Maxim Ostrovskiy”:

Q. Does it state the name of the client on that invoice?

A. Oh, yes, it does, IAM & AL Group, Inc. It's a balance statement, I believe.

Q. What is the outstanding balance that's indicated on this document?

A. \$900.

Q. And as far as I understand, can you turn to Paragraph 12 of your declaration?

A. To date, \$900 remains unpaid.

Q. What is date of your declaration?⁶

A. March 5, 2014.

Q. The next document -- you can keep that out -- I'm going to show you has been marked as Alper-7... so can you take a look at that document?⁷

A. Are the dates the same?

Q. No, the dates are different. We have a followup question in relation to the two documents.

A. Okay.

Q. Alper-7, yes.

A. It's an invoice, it's a balance statement to -- this time to Ostrovskiy, Maxim, in the amount of 2,354.

Q. And what is the date of that?

⁵ The XTN number on the MTL Bill of Lading reads as follows: 123456789-HBOL15692”. An example of what would actually be a legitimate XTN number can be seen in the Maersk Bill of Lading (with XTN number X20130821010350) and which is annexed hereto as **Appendix “T”**. See, also, Appendix “N”.

⁶ The document marked as Alper-6 during the deposition is Appendix “F”.

⁷ The document marked as Alper-7 during the deposition is annexed hereto as **Appendix “U”**.

A. June 12, 2013.

Q. So, let's just -- quick math. If on June -- in June 2013 he owes 2,354 and on March 14th he stated in the declaration, they have nothing in their attachment, he owes \$900, does that mean that some balance would have been paid off?

A. So, this is June 2013 and that's March 2014?

Q. Right.

A. Either some balance was paid off or they gave him a discount. I have no idea what they did with that.

Q. As far as you could see, there's a reduction owed from 2,354 in 2013 to 900 in 2014?

A. Yeah, but the names don't match up on the statements, so...

Q. Right. One is to IAM and the other is to Maxim Ostrovskiy?

A. Right, so it doesn't make much sense.

Q. But if we assume -- not assume, I think you might not be aware, but it is of knowledge as to the parties in this matter that IAM & AI was Maxim Ostrovskiy, would it be possible for them to comingle the bills with the amount that he owed one time putting IAM his company and another time putting him personally?

MR. CIPPARULO: Objection to form.

A. Okay. Would it be possible? Anything is possible. But, once again, you didn't ask my opinion, but according to accounting principles, you really can't do that. I don't know what they're doing with this.

Q. Based on your opinion, what do you think happened here?

MR. CIPPARULO: Objection to form. Can you answer?

Q. If you don't know, you don't know.

A. The only thing I could imagine or assume is that they reached some kind of agreement. That's my best guess here.

Q. To cause the reduction in fees?

A. Correct.

(See, Appendix "M" at pp. 56-58; p. 59/ln. 1-12)

46. In his deposition, Dimitry Alper testified that a lien on the subject automobiles (warehouse lien or otherwise) could not simply materialize out of the air at the whim of MTL because there are legal procedures that MTL was required to follow in order to assert a lien against the subject cars in its possession prior to such cargo being confiscated and sold, and/or exported overseas – put simply MTL could not sell what it never owned:

Q. So, what happens in this matter if the payment is not made in 10 business days?

A. You could get a late payment fee, you could get a lien on your cargo, I mean or nothing could happen, depending on what MTL wants to do.

Q. When you mention lien on cargo, what kind of lien?

A. Get a warehouse lien. A judgment, if it gets that far.

Q. Can you get a maritime lien?

A. You could, in theory, sure.

Q. Do you know what is the process for obtaining a warehouse lien?

A. No, I can't lay that process out for you right now. I know it's a complicated one.

Q. Do you know anything about the process, as far as you know, or if it's done in your practice?

A. I have never done it in my company, so.

Q. Have you -- but you've heard of the term "warehouse lien"?

A. Yeah, you have to, I guess -- I don't know what department handles that, but you have to file, you know, motion or something that the client owes you X-amount of dollars for storages, present the invoices, whatever agreement you have, and get a lien against the title of that cargo.

Q. Does the client usually have to be notified of this proceeding?

A. Yes, as far as I know, yes.

(See, Appendix “M” at p. 66/ln. 7-25; p. 67/ln. 1-10)

- A. The way it really happens is the cargo is not released until you pay the money. That's the general practice in the industry. Nobody goes out after a hundred-fifty-dollar liens, as far as I know.
- Q. Can you confiscate a car that's worth \$28,000 for, let's say, \$900 of unpaid charges?
- A. No, you cannot, but you can hold it.
- Q. You can hold it?
- A. Yes.
- Q. And accumulate charges, I assume storage charges?
- A. Right.
- Q. Which seems reasonable?
- A. Right, right.
- Q. Let me have you take a look at 54 in Alper-9, it's entitled 54 and 56.⁸
- A. Okay. Same two titles, the Porsche and the Mercedes.
- Q. Can MTL sell these cars with a title as they are? Or you as a shipper, let's say you. received those two titles, can you legally sell those two cars?
- A. No, I don't think you could.
- Q. Why not?
- A. Because you can't sell what you don't own.
- Q. And those titles do not show MTL as the owner?
- A. Correct

(See, Appendix "M" at p. 68/ln. 5-25; p. 69/ln. 1-9)

⁸ The document marked as Alper-9 during the deposition is annexed hereto as **Appendix "V"**.

Q. So, if we assume, based on the titles, that the cars belong to IAM and that other company, Manhattan, and the titles were never changed, who's the owner of the cars when they're shipped?

A. The respective owners, IAM and Manhattan.

Q. Is it possible to change the owners of the time before shipment?

A. Change how?

Q. I'm trying to think of any way to change ownership.

A. Unless you went through court and got a lien or you paid them or, no, I don't believe so.

(See, Exhibit "M" at p. 71/ln. 3-14)

47. In his deposition testimony cited below, Mr. Alper testified that pursuant to Export Administration Regulations that Maxim Ostrovskiy and/or Manhattan Auto Brokers Inc. as last owner in the United States of the subject Porsche and the Mercedes should have been listed (but were not) as U.S. Principal Party in Interest ("USPPI") on the Shipper's Export Declaration filed by MTL with the U.S. Department of Commerce (through the Automated Export System "AES") at the time of the export of the cars.

48. **With regard to Mr. Alper's testimony cited below,** complainants note up front that the Certificate of Title for the subject Mercedes was the document used by respondents to prepare the AES filing with the U.S Department of Commerce because it is the only document that has the requisite information needed to complete the filing. The Commission is already aware that upon completion of the AES filing, that the U.S Department of Commerce generated a XTN/ITN number (the Internal Transaction Number is a confirmation number that proves a shipment has been accepted by AES, and is unique for every shipment and must be provided to the U.S. Customs and Border Protection at the port of export) which is then added to the House Bill of Lading and Ocean Liner Bill of Lading as appropriate. As to ownership of the subject Mercedes and the fact that the USPPI is the owner of the cars, Mr. Alper's testimony is below:

Q. Take a look at Alper-2 again.⁹

A. Okay.

Q. Look at that in conjunction with Alper-9. Can you turn to the title pages?

⁹ The document marked as Alper-2 during the deposition is annexed hereto as **Appendix "W"**. See also, Appendix "O" at bates No.: DEF0232.

A. Uh-hum.

Q. Of the two cars, I believe it's 54 and 56?

A. Yes.

Q. The two cars that are subject of this litigation, the Porsche and the Mercedes, can you -- from the AES declaration, can you tell is who the USPPI is in this transaction?

A. Okay. Car Express & Import, Inc.¹⁰

Q. The titles for these two cars, as we see, have a different donor?

A. Correct.

Q. How could Car Express be listed as a USPPI in this case?

MR. CIPPARULO: Objection to form.

A. I don't know.

Q. Does that make any sense to you?

A. Not right now, no.

Q. I think it was your testimony, and also maybe my statement, which you might have agreed with, that USPPI is the owner of the car?

A. Correct, the last owner.

Q. The last owner in United States?

A. Correct.

Q. So, if these titles show the owners IAM and Manhattan, et cetera, one of them should have been listed as a USPPI on the AES?

A. Yes, based on the paperwork, other paperwork.

(See, Appendix "M" at p. 85/ln. 13-25; p. 86/ln. 1-20)

¹⁰ Complainants also note that it has already been established on the record in this matter that the auto auction warehouse known as "Copart" has confirmed (by response to a Subpoena) that the invoice purporting to indicate that Copart had allegedly sold the Mercedes to Car Express & Import Inc. was a fake invoice and was never part of Copart's business records. See, FF# 24 above.

49. In his deposition, Mr. Alper testified that the export of the subject cars to Dubai was at the very least, a misdelivery:

Q. Back to the Mercedes and Porsche. Based upon your testimony today, there is certain procedures that need to be followed in order to exercise Maritime lien or the vehicles. So, my question to you is: If there was no warehouse lien or Maritime lien in place and the Mercedes was delivered to Dubai instead of somewhere else, which we have documentation that we haven't shown you, but Maxim Ostrovskiy was invoiced for shipping to Kotka for that vehicle and we know the vehicle was delivered to Dubai instead, my question to you is: Would you classify that delivery to Dubai as a misdelivery?

MR. CIPPARULO: Objection to form.

A. At the very least a misdelivery.

(See, Appendix "M" at p. 130/ln. 17-25; p. 131/ln. 1- 6)

50. The Mercedes and the Porsche are also the subject of additional proceedings captioned as *World Express & Connection, Inc. v. Crocus Investments, LLC et al.* (U.S.D.C. – D.N.J., 2:15-cv-08126-KM-MAH) and were previously the subject of proceedings in the matter of MAVL Capital Inc. et al. v. Marine Transport Logistics Inc. et al. (U.S.D.C. – D.N.J. Docket No.: 1:13-cv-07110-SLT-RLM).
51. In the EDNY, during discovery, MTL produced "Royal Finance Group Invoice 347110 for the sale of the Mercedes SL65 in the amount of \$3,500... with notations Car Sold in Dubai Port", and an email from counsel for MTL with attachments including a bank statement, and in which counsel explains that: "The bank statement showing payment for this transaction is for \$4,950, which includes payment of the \$3,500 for the Mercedes SL65 and \$1,450 toward an motorcycle purchase unrelated to this case." A copy of said email and attachments, including the RFG invoice 347110 is attached to the Certification of Alexander Safonov (See, Appendix "D").
52. The Master Bill of Lading, which was issued by ocean liner MAERSK when respondents shipped the Mercedes and the 2011 Porsche Panamera to Dubai identifies Middle East Asia, FZE ("MEAA") as being the consignee for receipt of the Porsche and Mercedes in Dubai. (See, Appendix "N" and "T").
53. MEAA never received Invoice 347110 from RFG nor did MEAA purchase the Mercedes. (See, Certification of Alexander Safonov, dated April 13, 2016 at ¶ 6, a copy of which is annexed hereto as Appendix "D").
54. MEAA did not purchase the Porsche from MTL. (See, Appendix "D" at ¶ 11).

55. At the direction and request of Alexander Solovyev, RFG and MTL, MEAA performed the customs clearance for these vehicles, paid customs duties, repaired and stored these vehicles. At their direction and request, MEAA paid \$50,000 for the customs duties, repair and storage of the vehicles, which Aleksandr Solovyev and MTL promised to repay. (See, Appendix “D” at ¶ 12).
56. WEC issued a Vehicle Receipt/Inspection Sheet for the 2006 Mercedes SL65 ("Vehicle Receipt", Appendix “R”).
57. On August 20, 2014, Middle East Asia sent invoice #a20 to RFG for repairs to the Mercedes and the Porsche. (See, Exhibit “B” to Appendix “D” herein, bates nos.: CX 101-102.)
58. As set forth herein, the Porsche and Mercedes were owned by Maxim Ostrovskiy and IAM&AL Group at no time were said vehicles ever part of Copart’s inventory nor were they ever purchased from Copart.
59. As set forth herein, a subpoena was issued to Copart who has now confirmed that the two Copart invoices provided by Solovyev and Alper to the MEAA, are indeed fake and are not part of Copart’s business records.
60. As set forth herein the representations made in paragraph “4” of the email from MTL’s counsel to wit: that defendant Royal Finance Group (“RFG”) allegedly sold the Mercedes to MEAA for the amount of \$3500.00 are false (this paragraph also makes reference to an additional \$1,450.00 paid toward a motorcycle purchase, unrelated to this matter, for a total sum of \$4950.00 paid by MEAA to RFG).
61. As set forth herein, at no time did MEAA ever receive invoice # 347110 from the respondents and at no time did MEAA ever purchase the Mercedes from respondents herein. See, Appendix “D” at ¶ 6. MEAA’s only involvement with this vehicle was repair and storage of the vehicle in Dubai, UAE at respondents’ direction and request. See the attached invoice (#a20) dated August 20, 2014 for “customs fees, auto repair, and storage” which was emailed by MEAA to the defendants herein (Exhibit “B” to Appendix “D” herein, bates nos.: CX 101-102).
62. In Federal Maritime Commission Docket No. 15-04, complainants therein have alleged that that the wire of \$4,950.00 was not for the alleged purchase of the Mercedes by MEAA, but rather for the purchase of a boat trailer (with VIN # LW95141 – 37), which complainant Crocus purchased from the respondents herein for the amount of \$4,950.00. On or about December 3, 2013, RFG provided Crocus with an invoice (# 1204 AS) for the sale of the boat trailer. See, Appendix “D” (at Page 28 of 34 Page ID: 5335) and Appendix “I”.

63. Paragraph “14” on Page “6” of “Respondents Proposed Findings of Fact” contains an admission by the respondents herein that Crocus paid “\$4950 toward the purchase of a boat trailer...See Royal Finance Group Invoice # 1204 AS”. See, Appendix “D” (at Page 28 of 34 Page ID: 5335) and Appendix “I”.
64. As set forth herein, with specific regard to the Porsche, similar to the Mercedes, MEAA did not purchase this vehicle from MTL. The Porsche (together with the Mercedes) was shipped to MEAA in Dubai, UAE, at the request of Alexander Solovyev, RFG and MTL. At their direction and request, MEAA performed the customs clearance for these vehicles, paid customs duties, repaired and stored these vehicles. At their direction and request, MEAA paid \$50,000 for the customs duties, repair and storage of the vehicles, which Solovyev and MTL promised to repay. At Solovyev’s request, after the repairs were complete, MEAA released the vehicles to MTL’s consignee. However, Solovyev and MTL failed to repay the \$50,000.00 to MEAA, which to date remains unpaid. (See, Appendix “D” at ¶ 12, and the invoice in Exhibit “B” thereto for \$50,000).
65. As set forth herein, Solovyev and Alper provided MEAA with what appears to be fake invoices from the auto auction warehouse known as “COPART” purporting to demonstrate that respondents had lawfully purchased the Mercedes and Porsche at auction, now confirmed by Copart to be false documents.
66. Mr. Safonov and MEAA additionally explained in their Certification of April 13, 2016 that in Dubai, after the vehicles were repaired, they were issued a new title. This allowed respondents to sell the vehicles with a clean title to third-parties. See, Appendix “D” at ¶ 13).
67. MTL imported vehicles (such as the Porsche and Mercedes) into Dubai under the pretense that said vehicles were salvage vehicles. See, Appendix “D” at ¶ 13. In Dubai, after the vehicles were repaired, the U.S. Certificates of Title for the Cars (which indicated ownership by MAVL Capital Inc./IAM and Maxim Ostrovskiy) were changed to a United Arab Emirates title (copies of which were annexed as Exhibit “GG” at bates nos. DEF0429 and DEF0430 to Appendix “A” and which are annexed hereto as Appendix “J”).
68. In her deposition, Raya Bakhirev (who is MTL’s General Manager and Bookkeeper) explains that MTL accepts automobiles into its possession, custody, and control solely for purposes of export, and never for storage only.

Q. So let's say I wanted to store my car, and I'm not shipping it, what is my rate?

A. We will not take your car for storage.

(See, Appendix “A” at ¶ 80 and Exhibit “A” thereto, provided here as Appendix “X” at p. 137/ln. 20-22).

69. As set forth in FF 92 below, Solovyev and Alper provided defendants/third-party plaintiffs with invoices bearing the letterhead of the auto auction warehouse known as 'Copart' (and which were backdated to the time of the MTL House Bill of Lading pursuant to which the subject cars were shipped).
70. As set forth above, in his deposition, Solovyev testified that he shipped two automobiles, a Mercedes and a Porsche to Middle East Asia for sale in Dubai for "another customer". (Appendix "L" at p. 89/ln. 7-22).
71. As set forth above, in the matter of *Crocus Investments, LLC et al. v. Marine Transport Logistics, Inc., et al.* (Federal Maritime Commission Docket No.: 15-04) Alla Solovyeva testified under oath during her deposition regarding her personal involvement with her/MTL's customers (which includes complainants) as follows: "Well, I know all my customers personally...They come to my office. I have to know all my customers. It is my due diligence". (See, Appendix "BB" at p. 51/ln. 9-12).
72. As set forth above, MTL is located at 63 New Hook Road, Bayonne, NJ 07002. (See, Official notice of Commission records, <http://www2.fmc.gov/oti/NVOCC.aspx>).
73. Raya Bakhirev Worked For MTL as its General Manager, Bookkeeper and Documentation Person during the relevant time period of the events alleged in the complaint. Copies of the relevant portions of Ms. Bakhirev's deposition transcripts from the first and second days of her deposition are annexed hereto as Appendix "X" and "Y" respectively, and the Presiding Officer is respectfully directed to the following exchanges on the issue of Bakhirev's affiliation with MTL and MTL's custom and practice of only accepting cars into its possession, custody, and control solely for purposes of export, and never for storage only:

Q. What does it say under your previous employment?

A. MTL.

Q. Okay. And what does it say for description of ocean transportation intermediary duties performed?

A. Documentation, bookkeeping, general manager.

Q. General manager, so now you were a general manager at MTL as well?

A. Yes, I was.

(See, Appendix "Y" at p. 18/ln. 22-25; p. 19/ln. 2-8)

74. In her deposition, Raya Bakhirev testified that she worked for MTL from 2001 until May of 2014.

Q. When you were at WEC, why did you have an e-mail address at MTLWorld.com?

A. Because before I became the owner of WEC I worked for MTL.

Q. But then when did you work for MTL before WEC?

A. From 2001. From 2001, I believe.

Q. Until?

A. Until, until the time I moved to Car Express, until 201[4]¹¹.

(See, Appendix "X" at p. 64/ln. 11-20)

75. In her deposition, Raya Bakhirev testified as follows:

Q General manager, so now you were a general manager at MTL as well?

A Yes, I was.

(See, Appendix "Y" at p. 19/ln. 6-8)

76. In her deposition, Raya Bakhirev testified as follows:

Q So you testified that MTL was WEC's only client; is that correct?

A Yes.

(See, Appendix "Y" at p. 72/ln. 18-20)

77. In her deposition, Raya Bakhirev testified as follows:

A I don't know who he is referring to, but this can be explained by saying that World Express & Connection is one -- has only one client that is MTL. So the clients did not know World Express & Connection. They operate with MTL only.

¹¹ The 2013 date in Ms. Bakhirev's transcript was later corrected by errata sheet to a 2014 date. For purposes of clarifying this issue, she testified that she worked at Car Express and Import Inc. starting in May of 2014 through March of 2017 (See, Appendix "X" at p. 37/ln. 20-23).

(See, Appendix “Y” at p. 118/ln. 18-23)

78. In his deposition, Dimitry Alper testified that he worked at MTL between 2009 through April of 2015, and that he served in the roles of General Counsel and Director of Operations and created the policy whereby cars destined for export by MTL were allowed an initial thirty (30) days of free storage by MTL:

Q. Can you tell us the years that you worked at MTL?

A. '09 through April of '15.

Q. And as I understand, your positions varied there between general counsel and director of operations. Is that correct?

A. Yes.

(See, Appendix “M” at p. 13/ln. 6-12)

Q. Is there storage fee from day one at MTL or if you remember?

A. I remember. I made the policy, so I remember. The general policy was 30 days free if the car is shipped through MTL; after which, it was, I believe, ten bucks a day or 15 bucks a day for a car, I think they changed it at one point thereafter. ***And if you don't ship it through them, it's storage goes from the first day.***

(See, Appendix “M” at p. 17/ln. 15-23)

79. In his deposition, Mr. Alper testified that he worked at MTL between 2009 through April of 2015 and served in the roles of General Counsel and Director of Operations. (See, Appendix “M” at p. 13/ln. 6-12).

80. In her deposition, Raya Bakhirev testified as follows:

- She is the President of World Express and Solovyev was not an owner of World Express in 2015. (See, Appendix “Y” at, p. 24/ln. 11-22; p. 94/ln. 14-25; pp. 95-96).
- Solovyev is not an officer of World Express. (See, Appendix “Y” at p. 98/ln. 6-14)
- From 2010 to the present time, Solovyev was never the President of World Express, nor were there any corporate resolutions appointing him as an officer of the company. (See, Appendix “Y” at p. 128/ln. 12-17; p. 129/ln. 18-21; p. 138/ln. 1-5).
- Solovyev did not receive any shares of World Express (after its transfer to Bakhirev). (See, Appendix “Y” at p. 131/ln. 7-11).

81. Vadim Alper is also known as Dimitry Alper (“Alper”). (See, Appendix “A” at ¶ 43 and Exhibit “S” thereto at ¶ 1, which is provided here as Appendix “Z”).
82. Alper is an attorney licensed to practice law in the States of New York and New Jersey. (See, Complainants’ Additional Proposed Findings of Fact and Brief in the matter of Crocus Investments, LLC, et al. v. Marine Transport Logistics Inc., et al. [FMC Docket No.: 15-04], dated October 28, 2016 at proposed FF 28 and Appendix “10” thereto with copies of the printouts from the New York and New Jersey State Court Attorney Directories).
83. During the relevant time period within which the events alleged in this matter took place, Alper was the director of operations from MTL. (See, Complainants’ Additional Proposed Findings of Fact and Brief in the matter of Crocus Investments, LLC, et al. v. Marine Transport Logistics Inc., et al. [FMC Docket No.: 15-04], dated October 28, 2016 at proposed FF 29 and Appendix “9” thereto at ¶¶ 6 and 13).
84. During the relevant time period within which the events alleged in this matter took place, Alper was the in-house counsel for MTL. (See, Complainants’ Additional Proposed Findings of Fact and Brief in the matter of Crocus Investments, LLC, et al. v. Marine Transport Logistics Inc., et al. [FMC Docket No.: 15-04], dated October 28, 2016 at proposed FF 30 and Appendix “11” thereto at ¶¶ 12 -13).
85. Alper is the son-in-law of Third-Party Defendants Alla Solovyeva and Aleksandr Solovyev and occupied a unique position of trust in MTL. (See, Complainants’ Additional Proposed Findings of Fact and Brief in the matter of Crocus Investments, LLC, et al. v. Marine Transport Logistics Inc., et al. [FMC Docket No.: 15-04], dated October 28, 2016 at proposed FF 35 and Appendix “11” thereto at ¶ 11 and Appendix “9” thereto at ¶ 4).
86. Solovyev and Solovyeva are each principal and part owner of MTL. (See, Complainants’ Additional Proposed Findings of Fact and Brief in the matter of Crocus Investments, LLC, et al. v. Marine Transport Logistics Inc., et al. [FMC Docket No.: 15-04], dated October 28, 2016 at proposed FF 36 and Appendix “13” thereto).
87. Per the affidavit of Vadim Alper, Alex and Alla Solovyeva are the owners of MTL. (See, Complainants’ Additional Proposed Findings of Fact and Brief in the matter of Crocus Investments, LLC, et al. v. Marine Transport Logistics Inc., et al. [FMC Docket No.: 15-04], dated October 28, 2016 at proposed FF 37 and Appendix “9” thereto at ¶ 4).
88. MTL uses World Express as its CFS/CY. (See, Appendix “A” at ¶ 15 and Exhibit “L” thereto, which is provided here as Appendix “AA”). (See also, Deposition of Alla Solovyeva at pp. 33-36), a copy of which is annexed hereto as Appendix “BB”).

89. MTL effectively “sat on its hands” and failed to perform its NVOCC duties with regard to complainants.
90. The Union County Prosecutor’s office, conducted a criminal investigation of Solovyev, wherein the investigating officer/detective explains that “Additional checks also revealed that SOLOVYEV is listed as the owner for Marine Transport Logistics (MTL) and his wife Alla SOLOVYEVA is listed as the company chairman”. (See, Appendix “A” at ¶ 47 and Exhibit “U” thereto, which is provided here as **Appendix “CC”**).
91. In the records from the criminal investigation of Solovyev, the investigating officer explains that surveillance was performed “...on the marked Marine Transport Logistics (MTL) lot. The lot was marked as ‘MTL Shipping and Receiving’”. The report further explains that surveillance was also performed on an unmarked lot appurtenant to the MTL lot wherein “Personnel that were observed working in the ‘MTL Shipping and Receiving’ lot were also observed working within this unmarked lot” and that “Based on the observations made of the loading activities, as well as the pervious surveillance, the unmarked lot appears to be the loading area for Marine Transport Logistics (MTL)”. (See, Appendix “A” at ¶ 75 and Exhibit “U” thereto, which is provided here as Appendix “CC”).
92. Solovyev and Alper provided MEAA and its owner with invoices bearing the letterhead of the auto auction warehouse known as ‘Copart’ (and which were backdated to the time of the MTL House Bill of Lading pursuant to which the subject Mercedes and Porsche were shipped). See, Appendix “A” at ¶ 79 and Exhibits “LL” and “MM” thereto, which are provided here as **Appendix “DD” and “EE”**).
93. Complainant MAVL CAPITAL, INC. (“MAVL”) is a New York corporation with its primary place of business at 115 East 57th Street, New York, NY 10022. (Complaint filed on July 31, 2016 at ¶ 1).
94. Complainant IAM & AL GROUP INC. (“IAM”) is an Indiana corporation with its primary place of business at 100 N Center Street Ste. 131, Mishawaka IN 46544. (Complaint filed on July 31, 2016 at ¶ 2).
95. Complainant IAM & AL GROUP INC. (“IAM”) is dealer that purchased the 2011 Porsche from an auto action known as “IAAI”. (See, Plaintiff’s Initial Disclosures Pursuant to FRCP 26(A)(1) in the matter of MAVL, *supra*, with Buyer Receipt # 6013234 from IAAI, a copy of which is annexed hereto as Appendix “FF” at page bates no.: P0006).
96. The aforementioned Buyer Receipt # 6013234 contains the following information:
- Date: 4/23/2013
Sold at Branch: 111-North Hollywood
Buyer #: 200012

Buyer Name: IAM & AL Group

Dealer: 1201001

Year: 2011

Make: Porsche

Model: Panamera

Color: White

Mileage: 18,361

VIN: WP0AA2A75BL017399

Invoice To: IAM & AL GROUP 100 N Center Street Ste. 131, Mishawaka IN 46544.

Total Charges: \$41,889.00

Total Payments: \$41,889.00

97. The Bill of Lading from Y&N Towing Transport Inc. for the inland transport of the Porsche indicates pickup from the IAAI auto auction warehouse where it was purchased, and delivery to MTL's warehouse, with a handwritten note on a 'Post It' which reads: "Max Ostrovskiy" (See, Appendix "G" at page bates no.: DEF0770).
98. RFG issued an invoice to MAVL on April 20, 2013 for the Porsche, which included a charge of \$700.00 for: "Shipping to Kotka" (See, Appendix "G" at page bates no.: DEF0761).
99. The back side of the Certificate of Title for the Porsche contains a section entitled: "Bill of Sale" which lists State Farm as Seller and IAM & AL Group as Buyer. This document also has a section entitled: "Buyer" which lists IAM & AL Group as Buyer (See, Appendix "FF" at page bates nos.: P0008-P0009).
100. As of the time of this writing, complainant MAXIM OSTROVSKIY currently resides in Moscow, Russia, and is a principal of MAVL and IAM.

The Porsche and Mercedes

101. As a result of this ongoing fraudulent scheme, a criminal investigation was opened in Dubai against Mr. Tretiykov who subsequently fled the country. (See, Appendix "A" at ¶70 and, Appendix "D" at ¶ 14 and Sharjah Police Headquarters Report annexed hereto as Appendix "K").
102. As of August 14, 2015, MTL continues to perpetuate its fraud despite having already sold and disposed of the Mercedes and Porsche, having sent an email to Maxim Ostrovskiy from "Management" of MTL, explaining that monies are still due and owing and stating that his "cargo shall be auctioned as abandoned to cover above mentioned fees as well as storage and handling." (See, Appendix "A" at ¶72 and a copy of this email is also annexed hereto as Appendix "GG").
103. As set forth above, Solovyev changed his story about owning the vehicles multiple times, and during the matter of Crocus, supra (Docket No.: 15-04) he represented that

the cars were imported to Dubai at the request of a customer. Solovyev had testified, on November 20, 2015 that with respect to the Porsche and Mercedes, that he was shipping them as part of “a business for one of the customers in [the] U.S.A. [who asked Solovyev] to sell them in Dubai...” and that “It was a customer who was shipping [the Porsche] and Mercedes...”. (See, Appendix “L” at p. 89/ln. 7-22).

104. MTL's tariff states as follows:

"Carrier provides 30 calendar days free storage prior for vehicles, trucks and boats received for US export shipment at its CFS/CY as listed herein. Beyond 30 days, storage charges per day apply as follows:

A. STORAGE CHARGES AT BAYONNE, NJ...Automobiles & Vehicles:
USD 10 per day. These charges apply in addition to ocean freight rates and all other charges provided herein...”

(See, Appendix “A” at ¶ 76, and the complete section of MTL’s applicable tariff can be found in the Appendix to Complainants’ Proposed Findings of Fact of January 15, 2016 (Document 12) at pages Bates Nos.: CX 178 – CX 179 in FMC Docket No.: 15-04.

105. As set forth above, Solovyev and Alper provided MEAA and Mr. Safonov with invoices bearing the letterhead of the auto auction warehouse known as ‘Copart’ (and which were backdated to the time of the MTL House Bill of Lading pursuant to which the subject cars were shipped). See, Certification of Alexander Safonov (Appendix “DD”) and emails with invoices attached annexed hereto as Appendix “EE”.
106. Pursuant to MTL’s invoices, “...Payments must be received no later than 10 business days after sailing date...” (See, Appendix “F” at page bates no.: DEF0271 and Appendix “GG” at page bates no.: DEF0758)¹²
107. On or about June 1, 2013 Maxim Ostrovskiy visited MTL’s storage site and provided instructions to ship the Mercedes to Germany. (See Certification of Maxim Ostrovskiy on this Docket, filed on October 3, 2016, at ¶¶ 13-14).

¹² As set forth above, this invoice for the Porsche was emailed on August 14, 2015 at 12:12 PM by Aleksei Igumnov on behalf of MTL to “MAVL Capital, Inc.” at MAVL’s email address of: mcylc@gmail.com and this email was sent almost 2 years after MTL had actually exported this car. (See Proposed FF#’s 22-23 and documents bates nos.: DEF0756-DEF0758).

108. The U.S. Customs Declaration for the import of the Mercedes contained the following information:

Importer of Record Name and Address: MAVL CAPITAL INC 115 EAST
57th STREET 11th FLOOR”
B/L No. COSU4505431850
HTSUS No. 8703.24.0090
Gross Weight 1950
Entered Value – 48,500.00 USD

(See Appendix “FF” at page bates no.: P0023)

109. In his Declaration submitted to the Court in the matter of *MAVL Capital Inc. et al. v. Marine Transport Logistics Inc. et al.*, (U.S.D.C. – E.D.N.Y Docket No.: 13-cv-07110) (annexed hereto as Appendix “HH”), Solovyev stated that: “Car Express and Royal Finance Group were not involved with the 2006 Mercedes SL65”. (See, Appendix “HH” at ¶ 13)
110. As to the Porsche, this vehicle was purchased by IAM, which paid \$10,000 directly to RFG for ocean freight and other charges. (See Declaration of Maxim Ostrovskiy, from the matter of MAVL, *supra*, dated January 7, 2013 at ¶ 40, annexed hereto as Appendix “II” and copies of the wire transfers from IAM to RFG which were attached as Exhibit “G” to the Complaint from the matter of MAVL, *supra*, a copy of which are annexed hereto as Appendix “JJ”).
111. As set forth herein, MTL never provided complainants with a statement of account regarding the \$10,000.00 wired by complainants to MTL via RFG.
112. On September 11, 2013, MTL invoiced RFG for ocean freight and other charges for the Mercedes and Porsche instead of complainants. (See, MTL’s Response to Court Order dated May 21, 2018 Regarding Discovery Disputes from the matter of World Express, *supra*, at p. 15 of 16, a copy of which is annexed hereto as Appendix “KK”).
113. There is no record of MTL ever having provided invoices to complainants for ocean freight for the Mercedes and Porsche.
114. On April 25, 2013, IAM had sold the Porsche to “Sokolov Oleg Yuryevich” for \$67,000.00 and received payment from him. (See, Plaintiffs’ Supplemental Rule 26 Disclosure, dated May 16, 2014 from the matter of MAVL, *supra*, containing the original Russian language contract of sale, annexed hereto as Appendix “LL”. The English translation of the contract is annexed hereto as Appendix “MM”, page bates nos.: P0080 – P0083).

115. After complainants failed to deliver the Porsche to Sokolov Oleg Yuryevich, and pursuant to complainants' contract with Mr. Sokolov, complainants were forced to refund the \$67,000.00 to him, plus an additional penalty for failure to deliver, resulting in a total loss of \$98,088.00 for this car. (See, Appendix "MM" at page bates no.: P0083 at ¶ 12.1).
116. In MTL's AES filing for the export of the cars, while the Vehicle Title number for the Mercedes is actually 7418976, instead, MTL inputted in its place the license plate number for the car in the AES filing for the title field, inputting: 3QYH434. See, Certificate of Title for the Mercedes attached as Exhibit "A" to Appendix "D" herein [at "Page 005"], and the AES filing can be found at **Appendix "O"** at bates No.: DEF0232).

III. MTL ACTED AS AN OTI WITH REGARD TO THE SUBJECT MERCEDES AND PORSCHE

Standard of Review

The Presiding Officer is well versed in the methodology for determining if an entity is operating as an NVOCC. See, e.g., Worldwide Relocations-Possible Violations of the Shipping Act, 32 S.R.R. 495, 2012 FMC LEXIS 23 [FMC 2012]; Tienshan, Inc. v. Tianjin Hua Feng Transport Agency Co., Ltd., 31 S.R.R. 1831, 2011 FMC 9 [ALJ 2011], 31 S.R.R. at 1842-43).¹³

¹³ As to Worldwide Relocations, *supra*, the Presiding Officer may recall the well-established methodology to determine if an entity is operating as an NVOCC: to determine if an entity is a common carrier, it is important to consider all factors present in each case and to determine their combined effect. See, Worldwide Relocations, *supra*, (citing, Activities, Tariff Filing Practices and Carrier Status of Containerships Inc., 9 F.M.C. 56 [F.M.C. 1965])). The Commission has indicated that it will "look beyond documentary labels." *Id.* For example, "it is the status of the carrier, common or otherwise, that dictates the ingredients of shipping documents; it is not the documentation that determines carrier status." *Id.* To determine whether an entity meets this standard, it is necessary to examine the entity's conduct on that shipment. *Id.* (citing Bonding of Non-Vessel-Operating Common Carriers, 25 S.R.R. [1679] [F.M.C. 1991]; Low Cost Shipping, Inc., 27 S.R.R. 686 [F.M.C. 1996] [entity found to be operating as an NVOCC on some shipments and as an Ocean Freight Forwarder on other shipments]). This is a fact intensive inquiry. *Id.* "Resolution of that factual question requires an examination of each entity's conduct on a particular shipment to determine whether it operated as either an NVOCC or an Ocean Freight Forwarder on that shipment. Accordingly, after explaining how the evidence was weighed, each shipment alleged will be reviewed individually." *Id.*

Up front, MTL held itself out to the public to be a provider of OTI services.¹⁴ For instance, the Commission has determined that a broad swath of conduct falls within the scope of NVOCC activities. *Id.* (citing 46 C.F.R. § 515.2[k]), and that this determination is made more difficult where, as here, the parties seem to operate without much documentation and/or respect for corporate or other formalities.¹⁵ As set forth below, there are numerous facts supporting the conclusion that MTL had acted as an OTI (in some instances as an NVOCC and in others as an Ocean Freight Forwarder) with specific regard to the Mercedes and Porsche. As to the Porsche, complainants ask the Presiding Officer to note up front that the ID did not address any claims regarding the Porsche and that there was no question in the ID on the issue of whether

¹⁴ Additionally, in Worldwide Relocations, *supra*, the Commission affirmed the ALJ's articulation of the Commission's approach to determining NVOCC status, to wit: "Holding out". *Id.* "In answering the question of whether an entity is operating as an NVOCC, the Commission first determines whether the entity was 'holding itself out to the general public to provide transportation by water.' 46 C.F.R. §515.2(f)." *Id.* "Among ocean transportation intermediaries, only an NVOCC holds '...itself out to the general public to provide transportation by water...' An OFF does not pass this threshold question. A person or entity may hold out to the public "by the establishment and maintenance of tariffs, by advertisement and solicitation, and otherwise." *Id.* (citing Common Carriers by Water - Status of Express Companies, Truck Lines and Other Non-Vessel Carriers, 1 S.R.R. 292 [FMC 1961]). The FMC has previously found that advertising and solicitations to the public are important factors in determining the issue of "holding out" by an entity. *Id.* (citing Containerships, *supra*, 6 S.R.R. 483 [FMC 1965]). "As to inferences or presumptions on the 'holding out' issue: A party in a Shipping Act case has several different methods of proving violations of the Act. In some cases, such as the case here, where the ALJ reviews conduct on a number of shipments that satisfies a preponderance of evidence on an element, such as 'holding out,' the ALJ may draw reasonable inferences that a person or entity acted similarly in handling another shipment when the evidence is not available on that element for that shipment." *Id.* The Commission has previously determined that such inferences are permissible. *Id.* (citing Containerships, *supra*, 9 F.M.C. at 62 ["The most frequently mentioned characteristic is that a common carrier by course of conduct holds himself out to accept goods from whomever offered to the extent of his ability to carry."]). We respectfully submit that such inferences can also be permissible to the extent that they can be drawn on the issue of an NVOCC violating the Shipping Act repeatedly as part of a normal, customary, and continuous basis in its regular course of business - specifically, when there is evidence from other matters currently before the Commission involving the same NVOCC who has violated the Shipping Act with regard to other shippers.

¹⁵ As to the holdings set forth in Worldwide Relocations, *supra*, that matter is also relevant to the extent that an evaluation of the parties course of conduct also indicates that it was MTL's routine practice for the shipment of cargo shipped by complainants for MTL to issue and provide relevant shipping documents (such as an MTL House Bill of Lading and Dock Receipt) only **after** the cargo had been loaded and the ocean liner had departed from the port of origin, and for MTL to collect charges for Ocean Freight pursuant to its invoices only **after** the cargo had already left the port of origin. *See*, Worldwide Relocations, *supra* at p. 6 (citing Fed. R. Evid. 406 and explaining that "[e]vidence . . . of the routine practice of an organization . . . is relevant to prove that the conduct of the person or organization on a particular occasion was in conformity with the habit or routine practice").

respondents were engaged in the international transportation by water of the Porsche - - for these reasons, the claims regarding the Porsche were stayed.

Industry Process and Documentation

The role of an NVOCC is to act as an intermediary for ocean transport. NVOCC's are by definition a common carrier. They do not operate their own ships, but instead contract with ocean carriers for space on the vessels they operate and resell that space to the shipping public. The ocean carriers they buy from are called Vessel-Operating-Common-Carriers or VOCC's. Note that both NVOCC's and VOCC's are common carriers. The NVOCC issues a House Bill of Lading (House Bill) with their own customer as Exporter/Shipper and/or Consignee in the designated box(es). Cargo moved by ocean will always move under a Bill of Lading.

The importance of Bills of Lading goes back many centuries. This document has evolved over time as a negotiable instrument used in banking and documentary collection. A Bill of Lading is a contract of carriage that provides *Prima Facie* evidence of the following:

- a. *Receipt of cargo*¹⁶
- b. *Goods are onboard the vessel*¹⁷
- c. *Cargo received in good condition (absent of exceptions)*¹⁸

Author William Winters further defines the importance of the Bill of Lading as part of the *commercial set*:

In the ordinary commercial transaction there are four documents which collectively are known as a commercial set. These documents represent and take place of the goods themselves in the financing of the transaction and pass current in all markets of the world. They are:

1. *The invoice, which is the merchant's bill for the goods and set forth the terms of sale*

¹⁶ Buckley, James. The Business of Shipping. 8th ed. (Maryland: CMP, 2008) p. 351

¹⁷ Winter, William. Marine Insurance: Its Principles and Practices. 3rd ed. (New York: MH, 1952) p. 316

¹⁸ Gilmore, Grant. The Law of Admiralty. 2nd ed. (New York: TFP, 1975) p. 141

2. *The bill of lading, which is the carrier's receipt for the goods*
3. *The insurance certificate or special policy, which is the document of guarantee*
4. *The draft of bill of exchange, which is the merchant's payment*¹⁹

In the case at bar, MTL acted in the capacity of NVOCC and also as that of freight forwarder, for example, when it prepared and filed Electronic Export Information with the U.S. Department of Commerce, Census Bureau, and presented the certificates of title for the subject vehicles at the time of export, together with other shipping paperwork to CBP and to the Ocean Liner, arranged for the loading and containerization of the subject vehicles at the port of loading in New Jersey.

As the Presiding Officer may be aware, the U.S. Department of Commerce's Bureau of Industry and Security (BIS) administers and enforces export controls for the Department of Commerce through the Federal Export Administration Regulations ("EAR") under the authority of the International Emergency Economic Powers Act (IEEPA)²⁰. While the instant proceeding is not a criminal proceeding, the following criminal case summaries from the BIS's report from investigating of export control violations (annexed hereto as Appendix "NN") are briefly described below for the Presiding Officer, not to show that MTL has violated the EAR (which is undisputable), but rather to highlight for the Presiding Officer, that by virtue of MTL having committed the unlawful acts for which others have been severely penalized and imprisoned, that

¹⁹ Winter, William. Marine Insurance: Its Principles and Practices. 3rd ed. (New York: MH, 1952) p. 51

²⁰ Although the Export Administration Act expired on August 20, 2001, the President, through Executive Order 13222 of August 17, 2001, 3 CFR, 2001 Comp., p. 783 (2002), as amended by Executive Order 13637 of March 8, 2013, 78 FR 16129 (March 13, 2013) and as extended by successive Presidential Notices, the most recent being that of August 4, 2016, 81 FR 52587 (August 8, 2016), has continued the Export Administration Regulations in effect under the International Emergency Economic Powers Act (50 U.S.C. § 1701 *et seq.* (2006 & Supp. IV 2010)). BIS continues to carry out the provisions of the Export Administration Act, as appropriate and to the extent permitted by law, pursuant to Executive Order 13222 as amended by Executive Order 13637.

MTL has, in its capacity as NVOCC, violated the Shipping Act repeatedly as part of a normal, customary, and continuous basis in its regular course of business.

CASE 1 - R&A International Trading Inc / Rukhsana Kadri - Concealing and misrepresenting the identity of the exporter or U.S. Principal Party in Interest (“USPPI”) on Shipper’s Export Declarations or Automated Export System records (“SED/AES records”) filed with the U.S. Government (p. 58 of Appendix “NN”)

In December of 2013, New York-based freight forwarding company R&A International and its president and owner Rukhsana Kadri conspired to conceal and misrepresent the identity of the exporter or U.S. Principal Party in Interest (“USPPI”) on Shipper’s Export Declarations or Automated Export System records (“SED/AES records”) filed with the U.S. Government, and committed a series of related violations, including soliciting a false statement during the course of an investigation. (Appendix “NN” at p. 58).

R&A and Kadri entered into plea agreements with the U.S. Attorney’s Office for the Eastern District of New York, admitting to knowingly making false statements in violation of 13 U.S.C. § 305, in connection with a subset of 10 of the false SED/AES record filings that the New York Field Office had identified, and agreed to forfeit \$125,263.00. In addition to the forfeiture, R&A was sentenced in August 2014 to two years’ probation, a criminal fine of \$100,000, and a \$4,000 special assessment, and Kadri was sentenced to three years’ probation, a criminal fine of \$30,000, and a \$100 special assessment. Id.

In July 15, 2016, during the first day of an administrative trial before an administrative law judge, R&A International and Rukhsana Kadri jointly and severally agreed to pay a civil penalty of \$500,000.00, of which \$350,000.00 is suspended during a five-year probationary period, and agreed to a five-year suspended denial order. In entering into and as part of the settlement agreement, R&A International and Kadri admitted each of the allegations and violations charged by BIS. Id.

CASE 2 - Arc Electronics / Alexander Fishenko / Alexander Posobilov / Shavkat Abdullaev / Anastasia Diatlova - Providing False End-User Information In Connection With The Purchase of the Goods, Concealing The Fact That They Were Resellers, And Falsely Classifying The Goods They Exported On Export Records Submitted To The Department Of Commerce (pp. 46-47 of Appendix “NN”)

Between 2008 and 2012, Alexander Fishenko, owner of Houston, Texas-based Arc Electronics, and several of its employees obtained advanced microelectronics valued at over \$30 million from manufacturers and suppliers located within the United States, and exported those goods to Russia, while carefully evading the government export licensing system. (Appendix “NN” at p. 46).

They provided ***false end-user information*** in connection with the purchase of the goods, concealed the fact that they were resellers, and falsely classified the goods they exported on export records submitted to the Department of Commerce. *Id.* The microelectronics shipped to Russia included analog-to-digital converters, static random access memory chips, microcontrollers and microprocessors. On October 26, 2015, after a month-long trial, Alexander Posobilov, Shavkat Abdullaev and Anastasia Diatlova were convicted in U.S. District Court for the Eastern District of New York. In September 2015, Alexander Fishenko pled guilty in connection with the illegal exports. On October 9, 2012, BIS added 165 foreign persons and companies to its Entity List for allegedly engaging in this illegal export scheme. *Id.* at p. 47.

Case 3 - Go Trans (North America)/Roger Unterberger/Muhammad Bhatti – Making False Statements In Connection With The Attempted Export of Pipecutting Machines To Iran Via Germany (pp. 33-34 of Appendix “OO”)

The July 2008 edition of the BIS’ Investigations report (a copy of which is annexed hereto as Appendix “OO”) explains that Go-Trans (North America), of Jamaica, New York, a freight forwarder, Roger Unterberger, a retired Senior Vice President of Gondrand AG, headquartered in Basel, Switzerland, and Muhammad Bhatti, made false statements in

connection with the attempted export of pipecutting machines to Iran via Germany. (Appendix “OO” at p. 33). All three pled guilty to false statement charges. On October 24, 2007, Go Trans was sentenced to one year of probation and a \$34,000 criminal fine; Roger Unterberger was sentenced to one year of probation and a \$5,000 criminal fine; and Muhammad Batti was sentenced to one year of probation. *Id.* In the related administrative cases, Bhatti paid a \$34,000 penalty, Unterberger paid a \$25,500 penalty, and Go Trans paid a \$34,000 penalty. *Id.* at p. 34.

CASE 4 - The Matter of Maria Elena Ibanez – Causing, Aiding, and Abetting Violations of the EAR by Improperly Avoiding the Requirement to File Shipper's Export Declarations and Providing False Information on Commercial Invoices (Appendix “PP”)

In a final example from the BIS Annual Fiscal Report for Year 2003 (annexed hereto as Appendix “PP”), on October 31, 2002, the Commerce Department imposed a civil penalty of \$115,000 and a five year denial of export privileges on Maria Elena Ibanez of Miami, Florida. Ibanez agreed to the penalty to settle charges that she caused, aided, and abetted violations of the EAR by International High Tech Marketing (IHTM), a firm that she previously operated. BIS alleged that, on 265 occasions between May 1996 and September 1998, Ibanez caused, aided, and abetted IHTM in various export control violations, including ***improperly avoiding the requirement to file Shipper's Export Declarations***. *Id.* (emphasis added),

In March 2002, a U.S. District Court judge in Miami placed Ibanez on probation for 18 months and fined her \$5,000 for conspiring to falsify commercial invoices. Previously, in March 2000, IHTM pled guilty in U.S. District Court in Miami to five counts of export violations in connection with exports to Libya and Sudan ***and providing false information on commercial invoices***. IHTM was fined \$250,000 for these violations. IHTM is no longer in business. *Id.*

Pursuant to the EAR, Complainants Have Established That MTL Violated the Shipping Act

By way of the instant Remand Brief, the Presiding Officer has now been afforded an opportunity to correct an untenable situation wherein respondents have made false and material misrepresentations of fact in the AES Shipment Records filed with the U.S. Census Bureau.

By definition, Car Express could not have been the USPPI for the subject vehicles. As explained above, freight forwarders or other agents acting on behalf of the principal parties are responsible for their actions, including the representations they make by signing an export declaration or other export control document and may be prosecuted for violating the EAR. A *fortiori*, in order to help avoid liability in an export transaction, agents and exporters must decide whether any aspect of the transaction raises red flags, inquire about those red flags, and ensure that suspicious circumstances are not ignored.

It is well settled that an ocean freight forwarder “is an entity that arranges transportation of goods on behalf of a shipper from a United States location to an overseas location. The freight forwarder, acting as the *shipper's* agent, takes delivery of the goods, routes them to their destination, prepares documentation, arranges for any necessary storage, and completes any other tasks relating to the movement of the goods. Freight forwarders *must be licensed by the Federal Maritime Commission...* and are strictly regulated...”. See, United States v. Ventura, 724 F.2d 305, 306, 1983 U.S. App. LEXIS 14524, *3-4, 1984 AMC 645 (2d Cir. N.Y. 1983).

It is additionally well settled that in order to discern whether a party has acted as an ocean freight forwarder or a non-vessel operating common carrier, a Court may consider the following factors: (1) the way the party's obligation is expressed in documents pertaining to the agreement; (2) the history of dealings between the parties; (3) issuance of a bill of lading; and (4) how the party made its profit and, in particular, whether the party acted as 'agent of the shipper . . .

procuring transportation by carrier and handling the details of shipment for fees which the shipper paid in addition to the freight charges of the carrier utilized for the actual transportation. See, Zima Corp. v. M. V. Roman Pazinski, 493 F. Supp. 268, 273 (S.D.N.Y. 1980) (quoting Chicago, Milwaukee, St. Paul & Pacific R.R. Co. v. Acme Fast Freight, Inc., 336 U.S. 465, 484, 69 S. Ct. 692, 93 L. Ed. 817 (1949)); Ca' de Be' Imps., Inc. v. Zim-American Israeli Shipping Co., 2006 U.S. Dist. LEXIS 127, 2006 WL 23547 (E.D. Pa. 2006).

As set forth above, it is undisputed that MTL performed various NVOCC and OFF tasks set forth above with respect to the export of the subject vehicles. Among other things, respondents prepared and/or processed export declarations and prepared “dock receipts/bills of lading” and “MTL bills of lading”, delivered the loaded container with the cars to the port of export, arranged for warehouse storage, and provided documents for clearance of the cars through CBP, and handled the payment of ocean freight and other monies.

MTL’s role as NVOCC and freight forwarder with respect to the shipment of the subject vehicles is significant in that it establishes that MTL was responsible for the point-to-point shipment of the cars to Dubai. Thus, MTL was obligated to know the identity of the USPPI because as NVOCC and freight forwarder, they were obligated to report that information accurately to the U.S. Census Bureau. To the extent that the information was reported inaccurately, MTL was under a duty to correct such inaccuracies after learning of them. It is undisputed that this did not occur.

Documentation Requirements for Exporting a Vehicle

Shippers can transact export shipments of automobiles in different ways. Those present in the USA and familiar with the process may opt to book their cargo directly with VOCC’s. Others would typically use Freight Forwarders to arrange the bookings with VOCC’s. Still others

may hire an NVOCC to process the documents and make all the arrangements to facilitate overseas shipments.

The basic process starts with booking the export cargo on a planned vessel, securing the ocean container to load the cargo into, arranging for the trucker to bring the empty container to the loading facility and returning it back to the port once the container is loaded, blocked and braced. Documentation consists of the commercial set listed above, but in the case of exportation of motor vehicles there are additional agency documents and processes that must be complied with.

U.S. Customs and Border Protection Requirements

The exportation of motor vehicles requires additional procedures as mandated by 19 CFR 192.2(a) which states:

“A person attempting to export a used self-propelled vehicle shall present to Customs, at the port of exportation, both the vehicle and the required documentation describing the vehicle, which includes the Vehicle Identification Number or, if the vehicle does not have a Vehicle Identification Number, the product identification number. Exportation of a vehicle will be permitted only upon compliance with these requirements, unless the vehicle was entered into the United States under an in-bond procedure, or under a carnet or Temporary Importation Bond; a vehicle entered under an in-bond procedure, or under a carnet or Temporary Importation Bond is exempt from these requirements. The person attempting to export the vehicle may employ an agent for the exportation of the vehicle.”

Specific documentation requirements are set forth under 19 CFR 192.2 (b) (1) FOR U.S.-titled vehicles as:

i) *Vehicles issued an original certificate of title. For used, self-propelled vehicles issued, by any jurisdiction in the United States, a Certificate of Title or a Salvage Title that remains in force, the owner must provide to Customs, at the time and place specified in this section, the original Certificate of Title or a certified copy of the Certificate of Title and two complete copies of the original Certificate of Title or certified copy of the original.*

(ii) *Where title evidences third-party ownership/claims. If the used, self-propelled vehicle is leased or a recorded lien exists in the U.S., in addition to complying with paragraph (b)(1)(i) of this section, the provisional owner must provide to Customs a separate writing from the third-party-in-interest which expressly provides that the subject vehicle*

may be exported. This writing must be on the third-party's letterhead paper, and contain a complete description of the vehicle including the Vehicle Identification Number (VIN), the name of the owner or lienholder of the leased vehicle, and the telephone numbers at which that owner or lienholder may be contacted. The writing must bear an original signature of the third-party and state the date it was signed

CBP further clarified the regulations for the Port of New York / New Jersey by Informational Pipeline of June 30, 2008 No. 08-012-NWK (a copy of which is annexed hereto as Appendix “QQ”) that requires the document set submitted to CBP consist of:

1. Original certificate of title
2. Duplicate certificate of title (front and back)
3. Plus one of the following:
 - a. Dock Receipt
 - b. Bill of Lading
 - c. Intent to Export Form

The Pipeline also requires that Dock Receipts may not be altered in any way and that original pier-date stamps, VIN Numbers and Shipper/Consignee information must be legible and complete.

19 CFR 192.2 (c) (d) and (e) go on to say that when exporting by vessel, the required documentation and the vehicle must be presented to US Customs & Border Protection (CBP) at least 72 hours prior to export. CBP Port Directors establish and advertise the locations for this vehicle inspection including hours of operation. CBP determines the authenticity of the documents submitted, marks or decrements the documents and returns the original stamped or decremented title to the exporter and keeps the certified copy sets.

This vetting process is designed to allow enough time (72 hours not including weekends or holidays) that a vehicle must sit at the dock while the documents are being reviewed. New and used vehicles each go through a similar process which can vary slightly by customs port. Most require the stamped or decremented title returned to the exporter as the control document for export. In the Customs Port of Newark (NY and NJ port area) the vehicle could be exported if

the vehicle and documents were properly presented and no issues found, or 72 hours expires. This process was in force from Pipeline 08-012-NWK dated June 30, 2008 until December 4, 2015 when new Pipeline No. 16-004-NWK (annexed as Appendix “RR”) superseded with new requirements that vehicles must be held on dock until the stamped title is released by CBP regardless of whether 72 hours has lapsed. This is the typical practice by CBP today. The December 4, 2015 Pipeline notice also explicitly defines the terms ‘ultimate purchaser, and ‘end user’, and restricts the ocean liner from exporting a vehicle without stamped release documents from CBP, such as the certificate of title.

United States Census Bureau Requirements

A Shipper’s Export Declaration (“SED”) is required to be submitted to US Census before the cargo is exported. Originally a paper process (no longer accepted)²¹, this data is generated as Electronic Export Information (EEI) in the Automated Export System (AES) per regulations today.²² The filing is done either directly by the U.S Principal Party of Interest (USPPI), or can be submitted by a third party Freight Forwarder or NVOCC when requested and authorized through power of attorney. The definition of USPPI is the person in the United States that received the primary benefit, monetary or otherwise, of the transaction. The Presiding Officer is asked to note that the SED for the cars contains false and inaccurate information.

²¹ For the Presiding Officer’s reference, an old paper form SED 75725-V is annexed hereto as Appendix “SS” in which the filer signed a sworn certification that all statements made therein are true and correct, and which carries civil and criminal penalties for making false statements to the U.S. Government. This certification is now done electronically through AESDirect and placed a statutory obligation on respondents to know that all of the information reported to the U.S. Census Bureau is true and accurate, including the identity of the USPP, FPPI, intermediate consignee, and ultimate consignee.

²² 15 CFR 30.3, Census Bureau § 30.3 Electronic Export Information

Export Transaction (§30.3) - 15 CFR 30.3

The U.S. Principal Party in Interest (USPPI) receives payment from a foreign buyer and files the export information or appoints an authorized U.S. agent to prepare and file the EEI. If the USPPI authorizes an agent to file on its behalf, the USPPI must provide the agent a written authorization or power of attorney, as well as make the necessary license determination on the product, if a license is required.

Responsibilities in an Export Transaction (§30.3 (e))

U.S. Principal Party in Interest (USPPI) Responsibilities:

- Act on his own behalf and file the EEI
- Appoint an authorized U.S. agent to prepare and file the EEI on its behalf
- Provide a power of attorney or written authorization to the authorized U.S. agent
- Make a License Determination (in case license to export is required)
- Retain documentation

Authorized U.S. Agent Responsibilities:

- Obtain the authorization from the USPPI
- Provide transportation data
- Provide the USPPI with export information that it provided as submitted through the AES, if requested
- Retain documentation

Against the backdrop of the foregoing export control regulations, the Presiding Officer can see that MTL, in performing its duties as an OTI, was intimately involved in the process of reporting information regarding the shipment of the subject vehicles to various export control regimes. MTL's failure to provide true and accurate information, in violation of its statutory obligations, is *precisely* the reason why complainants are not listed as USPPI and/or consignee on the shipping documents.

Against the backdrop of the foregoing, the Presiding Officer is respectfully asked to consider that MTL completed and filed the AES Shipment Records, which if correctly completed would have established that in the shipment of the subject vehicles, that complainants should have been defined as USPPI.

MTL is Subject To the EAR and CBP Regulations and Had a Duty to Accurately Report the Shipment Data

Inasmuch as MTL, as a duly licensed OTI is subject to the EAR and CBP Regulations, it is charged with the responsibility to do its due diligence in knowing whether or not the exported items are subject to any sort of restrictions based upon what is being exported, to where, to whom, and for what purpose. 15 CFR Part 744 of the EAR explains that export restrictions based on the end-use and end-user include restrictions on certain "...military end-uses, as well as restrictions on certain end-users." Accordingly, OTI's are under a statutory duty to conduct due diligence to prevent potential violations of the EAR.

By Definition, Car Express Could Not Have Been the USPPI for the Subject Vehicles

It is undisputed that Car Express did not purchase the subject vehicles, never owned the vehicles and, as admitted by Solovyev, Car Express had nothing to do with these cars. Accordingly, the AESDirect printouts produced by the parties regarding the export of the Mercedes and Porsche establish that MTL provided false information to the Federal Export Regimes (e.g. U.S. Customs and the U.S. Department of Commerce, Census Bureau) regarding Car Express allegedly having been the USPPI for these vehicles²³.

²³ The President of MTL (to wit: Alla Solovyeva) testified under oath during her deposition regarding her personal involvement and interaction with her/MTL's customers (which includes complainants herein) as follows: "Well, I know all my customers personally...They come to my office. I have to know all my customers. It is my due diligence". (See Proposed FF# 71). As a result of her direct control over the AES filings and her stated "hands on" manner of conducting MTL's business, it cannot be disputed that she was aware that she was providing false information in the AES filings when she listed Car Express as USPPI for the Mercedes and Porsche and when she undervalued the declared export values of the cars in the AES filings (while in possession of complainants' shipping documents which contained different information regarding ownership and value of the cars).

MTL Provided False Information Regarding the Value of the Mercedes and Porsche in the AES Filing

Additionally, MTL provided false information regarding the value of the Mercedes and Porsche. Specifically, the Mercedes is listed on the AES Shipment Printout as having a value of \$28,500.00 and the Porsche is listed as having a value of \$57,600.00. Per the U.S. Customs Entry Summary for the import of the Mercedes to the United States, when MTL took possession of the car, its declared value was \$48,450.00.

With regard to the Porsche, as set forth above: 1) IAM was an automobile dealer and IAM is owned by Maxim Ostrovskiy²⁴; 2) the Porsche was also purchased by IAM from a non-party named "AA Insurance Auto Auctions" and delivered to MTL's storage facility by Y&N Towing Transport Inc. on or about April 22, 2013 together with the original Certificate of Title²⁵; 3) the Bill of Lading from Y&N Towing Transport Inc. indicates pickup from the auto auction and delivery to MTL's warehouse, with a handwritten note on a 'Post It' which reads: "Max Ostrovskiy, 4) RFG issued an invoice to MAVL on April 20, 2013 for the Porsche, which included charge of \$700.00 for: "Shipping to Kotka"²⁶; 5) on April 25, 2013, IAM had sold the Porsche to "Sokolov Oleg Yuryevich" for \$67,000.00 and received payment from him. MTL was required to declare the sum of \$67,000.00 as the export value for the Porsche at the time that MTL filed the AES declaration with the U.S. Census Bureau.

As set forth below, and on the issue of damages, respondents' violations of Section 41102(c) of the Shipping Act were the proximate cause of complainants' inability to ultimately deliver the Porsche to Sokolov Oleg Yuryevich, and pursuant to complainants' contract with Mr.

²⁴ See, Proposed FF# 94, 95, 96.

²⁵ See, Proposed FF# 97.

²⁶ See, Proposed FF# 98.

Sokolov, complainants were forced to refund the \$67,000.00 to him, plus an additional penalty for failure to deliver, resulting in a total loss of \$98,088.00 for this car.

MTL Provided False Information Regarding the Ultimate Consignee of the Mercedes and Porsche in the AES Filing.

As explained by MTL regarding its custom and practice of receiving oral instructions from complainants²⁷ regarding the specific port that the Mercedes and Porsche were supposed to be exported to, prior to sending the cars to Dubai, MTL received instructions from complainants to send the Mercedes to Germany²⁸ and the Porsche to Kotka, Finland.²⁹ Nevertheless and despite these instructions, MTL and Alla Solovyeva consigned the cars to Middle East Asia Alfa, FZE in Dubai.

MTL Also Provided False Information Regarding the Vehicle Title Number for the Mercedes in the AES Filing

As set forth above, the Vehicle Title number of the Mercedes is 7418976 (See proposed FF# 116), and instead, MTL inputted in its place the license plate number for the car in the AES filing for the title field, inputting: 3QYH434.

It is well settled that the issuance of misleading or altered shipping documents is a violation of the Shipping Act. See, Tractors and Farm Equipment Limited v. Cosmos Shipping Co., Inc., 26 S.R.R. 788 (ALJ 1992) (freight forwarder held to have violated section 10(d)(1) by failing to establish, observe and enforce just and reasonable practices with respect to two shipments ***when the freight forwarder prepared incorrect booking notes and dock receipts, and issued an altered bill of lading containing false information***); William R. Adair v. Penn-Nordic

²⁷ See, Proposed FF# 37. Alla Solovyeva states under oath as follows: “Authorization for the export of the vehicles was given by plaintiffs orally and in writing via email...”.

²⁸ See, Proposed FF# 107. On or about June 1, 2013 Maxim Ostrovskiy visited MTL’s storage site and provided instructions to ship the Mercedes to Germany.

²⁹ See, Proposed FF# 98. RFG issued an invoice to MAVL on April 20, 2013 for the Porsche, which included charge of \$700.00 for: “Shipping to Kotka”.

Lines, Inc., 26 S.R.R. 11 (ALJ 1991) (NVOCC failed to establish, observe, and enforce just and reasonable regulations and practices in violation of section 10(d)(1) when the NVOCC unreasonably aborted a shipment, notwithstanding the fact that it had issued an on-board bill of lading, ***thereby allowing a misleading shipping document to go forward in the shipping process***) (emphasis added).

Accordingly, and based upon the “shipping documents” (such as the AES filings and MTL Bills of Lading for the cars) produced by respondents in this and the related proceedings involving the Mercedes and Porsche (to wit: the matters of *MAVL Capital Inc. et al. v. Marine Transport Logistics Inc. et al.* [U.S.D.C. – D.N.J. Docket No.: 1:13-cv-07110-SLT-RLM] and *World Express & Connection, Inc. v. Crocus Investments, LLC et al.* [U.S.D.C. – D.N.J., 2:15-cv-08126-KM-MAH]), two conclusions can be drawn: (1) respondents violated section 10(d)(1) of the Shipping Act by issuing inaccurate “dock receipts/ bills of lading” that failed to identify complainants as ‘ultimate’ consignee; and (2) that regardless of that violation, complainants manifested their intent that the Mercedes be shipped to Germany and the Porsche to Kotka when they issued their verbal instructions to MTL, and that respondents failed to follow those instructions when they exported the cars to Dubai.

The Mercedes

As to the Mercedes, the Commission stated in its Order that the ALJ erroneously dismissed complainants’ 46 U.S.C. § 41102(c) claim for the Mercedes with prejudice for lack of jurisdiction, finding that MAVL did not have a contract of carriage with MTL for that vehicle. (Order at p. 6 citing to ID. at 20-21). More specifically, the Order explained as follows (and footnotes in the Order are included below but have been adjusted by number due to other footnotes set forth in the arguments and Findings of Fact set forth above):

“The ALJ found the complaint devoid of facts showing that MAVL had a contract with MTL to ship the Mercedes overseas as distinguished from a contract to store it in the United States. See *id.* at 14-15, 20-21. The ALJ was not persuaded by Complainants’ circumstantial evidence or their theory that Respondents’ alleged assertion of a maritime lien against the Mercedes demonstrated a contract of carriage. See *id.* at 15-20. The ALJ’s reasoning in this regard is premised on the notion that parties’ arrangement for storage of the Mercedes was not connected to international ocean transportation.

Because the ALJ premised dismissal largely, if not exclusively, on the absence of a contract of carriage, the parties’ arguments on appeal focus primarily on whether there was an express or implied contract of carriage to ship the Mercedes to overseas. In that vein, they discuss whether MTL had a maritime lien against the Mercedes and whether the alleged conversion occurred in the United States or after the Mercedes arrived in Dubai.

The ALJ erred, however, in framing the question as whether the parties had a contract to ship the Mercedes overseas. Rather, as the Commission explained in *Crocus Investments, LLC v. Marine Transport Logistics, Inc.*, 1 F.M.C. 2d 403, 415 (FMC 2018), the jurisdictional question in § 41102(c) cases is whether the respondent was acting as a regulated entity when it allegedly violated the Shipping Act. In *Crocus*, the Commission held that “[t]he relevant inquiry here is not...limited to whether there was a contract for overseas shipment” and stated that focusing on the existence of a contract or whether the cargo actually left the U.S. for a foreign port “unduly narrows the scope of the inquiry to two factors.” *Id.* “Whether the [cargo] was actually transported to a foreign port or the subject of a contract to do so is highly relevant to this analysis, but not necessarily determinative.” *Id.* The Commission noted that a broad swath of conduct falls within the scope of NVOCC activities. *Id.* (citing 46 C.F.R. 515.2(k)).

Properly framed, the question is whether Respondent MTL was a common carrier with respect to the allegations regarding the Mercedes.³⁰ See *Tianshan, Inc. v. Tianjin Hua Feng Transport Agency Co., Ltd.*, FMC No. 08-04, 2011 FMC LEXIS 9, *39 (ALJ Mar. 9, 2011). Common carriers are defined by three traits; they: (1) hold themselves out to the general public as providing transportation by water for passengers or cargo between the United States and a foreign country; (2) assume responsibility for transporting the passengers or cargo from the port or point of receipt to the port or point of destination; and (3) use, for all or part of

³⁰ Section 41102(c) applies to common carriers, marine terminal operators, and ocean transportation intermediaries. There are two types of ocean transportation intermediary: ocean freight forwarders and NVOCCs. 46 U.S.C. § 40102(20). Because an NVOCC is a type of common carrier, and because there is no indication that MTL is a marine terminal operator or ocean freight forwarder, the “regulated entity” question here involves the definition of common carrier.

that transportation, a vessel operating on the high seas or the Great Lakes between a United States port and a foreign port. 46 U.S.C. § 40102(7) and (17); 46 C.F.R. § 515.2(e) and (k).

When dealing with alleged common carriers or NVOCCs under § 41102(c), the Shipping Act's common carrier definition forms the basis for a "fact-intensive analysis" that considers the parties' conduct and actual arrangements during the relevant time frame. *Crocus*, 1 F.M.C. 2d. at 415 (citing *Worldwide Relocations—Possible Violations of the Shipping Act*, 32 S.R.R. 495, 503, 2012 FMC LEXIS 23, *13-*14 (FMC 2012)). The Commission's well-defined methodology for deciding common carrier status considers the totality of circumstances and their combined effect. *Worldwide*, 32 S.R.R. at 503, 2012 FMC LEXIS 23, *13-*14.

Here, MTL's alleged actions regarding the Mercedes meet all criteria that define a common carrier. MTL unquestionably held itself out as a common carrier; it is registered with the Commission as a licensed NVOCC and publishes an NVOCC tariff.³¹ I.D. at 3-5; MTL Tariff at 1; see also *Crocus*, 1 F.M.C. 2d at 410; *Tianshan*, 2011 FMC LEXIS 9, at *39-*42.

Taking Complainants' allegations as true, MTL also assumed responsibility for the Mercedes when it agreed to store it and tacitly understood that MAVL would eventually have the Mercedes shipped abroad. Compl. ¶¶ 27-29. When MTL accepted delivery of the Mercedes in early December 2012, Mr. Ostrovskiy told MTL that MAVL would eventually have the car shipped back to Germany after inspecting it and ordering repair parts. *Id.* MTL acknowledged that the Mercedes was earmarked for export by granting MAVL the same 30 days free storage it allows cargo destined for export under its NVOCC tariff. MTL's tariff allows "30 days free storage starting from the date of arrival of the vehicle at the warehouse, in order to allow time to provide the Carrier with the vehicle title, absent which the vehicle will not be loaded into a container." MTL Tariff, Rule 2-140. According to Mr. Ostrovskiy, MAVL had an on-going business relationship with MTL Ostrovskiy Certif. ¶ 12, so MTL presumably knew that MAVL is in the vehicle export/import business and likely to ship the Mercedes abroad at some point.

Further support for MTL having assumed responsibility for transportation comes from the undisputed allegations and evidence that MTL actually shipped the Mercedes overseas as an NVOCC. Complainants allege that MTL shipped the Mercedes to Dubai. See Compl. ¶¶ 27-31. A bill of lading issued by Maersk for the Mercedes' shipment³² shows MTL listed as the shipper, which would be consistent with it acting as an NVOCC.³³ See 46 U.S.C. § 40102(7) and (17).

³¹ Marine Transport Logistic Inc. (Org. No. 018709) is listed on the Commission's website as a registered NVOCC. (<https://www2.fmc.gov/oti/NVOCC.aspx>, last visited October 14, 2020).

³² A copy of the Maersk bill of lading was annexed hereto as Appendix "N".

As for the third element of the common carrier definition, Complainants allege that the Mercedes was transported between a United States port and a foreign port. Compl. ¶ 31; Ostrovskiy Certif. ¶¶ 16-17. This is further demonstrated by the Maersk bill of lading for the Mercedes.

In sum, at this stage of the proceedings, Complainants have adequately alleged that MTL was acting as an NVOCC with respect to the Mercedes. The Commission therefore reverses the ALJ's dismissal of the § 41102(c) claim regarding the Mercedes and remands it for further proceedings, during which Complainants would need to prove all the elements of their § 41102(c) claim under the Commission's interpretative regulations at 46 C.F.R. § 545.4.³⁴

It is respectfully submitted that while complainants have undisputedly established MTL's OTI activity with regard to the Mercedes and Porsche in the discussion above on the issue of the AES filings and shipping documents described herein (as well as MTL's violations of the Shipping Act and the Federal Export Regulations applicable to AES filings and Shipper's Export Declarations), we add the following in addition to the aforesaid evidence regarding MTL's misrepresentations to the Federal Export regimes.

Inasmuch as the ALJ's Findings of Fact from the ID were neither vacated in the Commission's Order, nor is there any basis to dispute, disturb, or otherwise contradict the Commission's well-defined methodology for deciding common carrier status (considering the totality of circumstances and their combined effect) pursuant to Worldwide, *supra*, as set forth

³³ Respondents argue that their alleged role in shipping the Mercedes is not relevant because if they committed conversion (which they deny), the unlawful act occurred while the car was still stored in New Jersey. See Respondent Marine Transport Logistic Inc.'s Brief in Support of the Presiding Officer's Order to Show Cause, 3-5, Oct. 17, 2016. Whether and where the alleged conversion occurred might be relevant to the merits of the § 41102(c) claim but is less relevant to whether MTL acted as an NVOCC with respect to the Mercedes.

³⁴ On remand, the ALJ may also need to address whether and on what basis the Complainants can pursue a § 41102(c) claim against Mr. Alper. Section 41102(c) governs the conduct of regulated entities, not individuals. Complainants allege that Mr. Alper acted as MTL's alter ego, that their actions are one and the same, and that it would be unjust not to pierce the corporate veil and hold him accountable for alleged Shipping Act violations. Compl. ¶¶ 12-16.

above, complainants have established that MTL was indeed acting as an NVOCC with respect to the Mercedes.

As set forth above, the Commission found that: “MTL’s alleged actions regarding the Mercedes meet all criteria that define a common carrier. MTL unquestionably held itself out as a common carrier; it is registered with the Commission as a licensed NVOCC and publishes an NVOCC tariff...”.

Additionally, Complainants allege that MTL also assumed responsibility for the Mercedes when it agreed to store it and tacitly understood that MAVL would eventually have the Mercedes shipped abroad.³⁵ (Complaint at ¶¶ 27-29). When MTL accepted delivery of the Mercedes in early December 2012, Mr. Ostrovskiy told MTL that MAVL would eventually have the car shipped back to Germany after inspecting it and ordering repair parts. Id.

Further, as stated above, MTL acknowledged that the Mercedes was earmarked for export by granting MAVL the same 30 days free storage it allows cargo destined for export under its NVOCC tariff. MTL’s tariff allows “30 days free storage starting from the date of arrival of the vehicle at the warehouse, in order to allow time to provide the Carrier with the vehicle title, absent which the vehicle will not be loaded into a container.” (MTL Tariff, Rule 2-140 cited within the Order of the Commission as set forth above).

Additionally, and as set forth above, it is undisputed that MTL actually shipped the Mercedes overseas as an NVOCC. The Order explains that in addition to complainants’ allegation that MTL shipped the Mercedes to Dubai (See, Complaint at ¶¶ 27-31), a bill of lading was issued by Maersk for the Mercedes’ shipment, which shows MTL listed as the shipper, which would be consistent with it acting as an NVOCC.

³⁵ See Proposed FF# 40.

Further, and as set forth above, while complainants allege that the Mercedes was transported between a United States port and a foreign port. (Complaint ¶ 31; Ostrovskiy Certif. ¶¶ 16-17), this allegation was “...further demonstrated by the Maersk bill of lading for the Mercedes...”.

The Porsche

As set forth above, there are numerous facts supporting the conclusion that MTL had acted as an OTI (in some instances as an NVOCC and in others as an Ocean Freight Forwarder) with specific regard to the Porsche. MTL’s preparation of shipping documents and AES filings, and issuance of the MTL Bill of Lading for the export of the Porsche to Dubai are set forth in detail above. Additionally, as set forth above, MTL through RFG issued an invoice to complainants for the Porsche wherein MTL charged \$700.00 for “Shipping to Kotka”.

In sum, MTL (through the actions of its agent Aleksandr Solovyev and his various companies such as Royal Finance Group Inc. [“RFG”]) offered transportation services for resale to complainants, accepted freight payments from complainants, handled freight or other monies advanced by shippers, charged complainants for and arranged for inland transportation to the port of export and payed for inland freight charges, offered loading and shipping services to complainants, charged complainants for the preparation of “shipping documents”, charged complainants “commissions”, and provided other related services incident to the export of the Porsche pursuant to 46 U.S.C. §40102 (19)(b).

Additionally, and as set forth above, in his deposition, Mr. Alper testified that the export of the subject cars to Dubai was at the very least, a misdelivery (See, Proposed FF# 49).

IV. MTL'S ACTS AND OMISSIONS WITH REGARD TO THE MERCEDES AND PORSCHE THAT VIOLATED THE SHIPPING ACT ARE OCCURRING ON A NORMAL, CUSTOMARY, AND CONTINUOUS BASIS AND ARE DIRECTLY RELATED TO AND CONNECTED WITH THE RECEIVING, HANDLING, STORING, AND/OR DELIVERING OF PROPERTY

It is respectfully submitted that the numerous examples of MTL's various unjust and unreasonable acts described above are sufficient to demonstrate that MTL's violations of Section 41102(c) of the Shipping were not limited to a single incident. As to the routine practices of MTL as described herein, the Presiding Officer is respectfully asked to note that the record herein demonstrates that it has been, and continues to be the business model of MTL, on a normal, customary, and continuous basis to fail to observe just and reasonable practices connected with the handling, storing, and delivering of cargo. Complainants respectfully identify various examples of MTL's normal, customary, and continuous failure to observe just and reasonable practices below, but first begin with a recitation of MTL's past history with the Commission in other proceedings.

Best Way USA, Inc. v. Marine Transport Logistics (FMC Informal Docket No.: 1901[I]) and Samir Abusetta et al. v. JAX Auto Shipping Inc. and Marine Transport Logistics, Inc. (FMC Informal Docket No.: 1932[I])

In the first instance, MTL's business model extends far past the handling, storing, and delivering of complainants' cargo in this matter, and MTL's past activity with regard to other shippers (such as the complainants in the matter of Crocus, FMC Docket No. 15-04) is also set forth in detail in the two other FMC proceedings and which are, to wit: Best Way USA, Inc. v. Marine Transport Logistics (FMC Informal Docket No.: 1901[I]) and Samir Abusetta et al. v. JAX Auto Shipping Inc. and Marine Transport Logistics, Inc. (FMC Informal Docket No.: 1932[I]). (We note that while MTL was not found to have-violated the Shipping Act in Samir, *supra*, that in the matter at bar, MTL is charged with the knowledge that storage charges were

accruing with regard to the Formula and failed to notify complainants, as did JAX Auto Shipping Inc. in Samir, *supra*.) These cases demonstrate MTL's past history of violating the Shipping Act on a regular, customary, and continuous basis, which continues to this day.

As to Best Way, *supra*, while MTL was found to have violated 41102(c) in that matter, the fact that the Best Way decision was issued prior to the 41102(c) Interpretive Rule does not make the decision any less applicable to the matter at bar in establishing that the acts occurring herein were part of MTL's business model and that they occurred on a normal, customary, and continuous basis.

Complainants respectfully submit that the point and intent of bringing Best Way to the Presiding Officer's attention is to illustrate that the fact that a violation of the Shipping Act was found to have occurred in that matter, and that MTL's 41102(c) violation in Best Way can be considered "in the big picture" together with violations that have occurred in other matters, such as the one at bar. In other words, each and every single FMC proceeding cannot be analyzed in a vacuum without considering facts on the record in other FMC proceedings involving the same parties, and to do otherwise would make it impossible to find a pattern of unreasonable behavior occurring on a normal, customary, and continuous basis. Analyzing each case in a vacuum without considering violations found to have occurred in other FMC proceedings would simply reward MTL and runs contrary to the intent of the Interpretive Rule.

Additionally, and with regard to the Interpretive Rule itself, the Presiding Officer may recall that the Rule was issued on December 17, 2018, and that all of MTL's acts complained of herein were committed prior to the issuance of the Rule. Pursuant to the Federal Administrative Procedure Act, the rules created by administrative agencies should only possess a prospective

effect. Accordingly, if the Interpretive Rule were to be applied retroactively to MTL's activity complained herein, MTL would effectively be rewarded for its behavior.

As to Samir, *supra*, while: 1) the case was also decided prior the issuance of the Interpretive Rule (which complainants have already addressed above); and 2) that in that case, the complainants hired Jax Auto Shipping to ship the cargo, and *not* MTL, in the matter at bar, *MTL is Jax*, and in the same manner in which Jax was charged with the knowledge that storage fees were accruing and failed to inform their customer that this was happening, in the matter at bar, MTL is similarly charged with that knowledge and failed to inform complainants that storage charges had allegedly accrued with regard to the Mercedes and Porsche. We add briefly that since MTL was aware of the Commission's decision in that matter regarding Jax's responsibility to inform its client about the accrual of charges, that not only MTL should have known better than to do that here, but that MTL knew exactly what it was doing in the matter at bar.

Each and Every one of MTL's Acts and Omissions with Regard to the Mercedes and Porsche That Violated the Shipping Act Establish a Course of Business Occurring on a Normal, Customary, and Continuous Basis, and are Directly Related to and Connected with The Receiving, Handling, Storing, and/or Delivering Of Property

As set forth above, complainants have established that the Mercedes was purchased by complainants and imported from Germany. Complainants have provided the U.S. Customs entry summary, and proof of ownership including receipts and the Certificate of Title for the car demonstrating their ownership. Additionally, complainants have provided the deposition testimony of Raya Bakhirev set forth above where she identifies the Warehouse Receipt from World Express for the receipt of the Mercedes and where she also explains that clients would only deliver their automobiles to MTL (allegedly via World Express' facility) in order to ship the automobiles through MTL. Further, Raya Bakhirev explained in her deposition that World

Express' only client was MTL and that World Express' only purpose was to load cargo for MTL's clients.

Complainants' Complaint alleges at paragraph "30" that because of the commercial relationship between Complainants and MTL, MTL agreed to charge Complainants a monthly storage charge of \$150 for the storage of the 2006 Mercedes SL65 and this is admitted by MTL in its Answer to the Complaint. As set forth above, this was due to the parties' agreement that the Mercedes would be stored in anticipation of shipment by MTL back to Germany.

Also, and as set forth in the Certification of Maxim Ostrovskiy of October 1, 2016 submitted in response to the Presiding Officer's Order to Show Cause (See Document "9" on this Docket, filed on October 3, 2016), Mr. Ostrovskiy explains that he provided instructions to MTL to export the Mercedes to Germany (which MTL admits to being verbal/oral instructions per Alla Solovyeva's Verified Responses to Interrogatories identified above) and that these instructions were ignored.

Proposed Findings of Fact "20", "21" and "106" set forth above establish that MTL's invoices for storage for the Mercedes (specifically MTL Itemized Invoice Nos.: 18091, 19098, 20622, 23343 and 23344) were never provided to complainants, but nevertheless, pursuant to MTL's invoices, "...Payments must be received no later than 10 business days after sailing date...". These charges apply in addition to ocean freight rates and all other charges provided herein.

Pursuant to MTL's Own Tariff, MTL Was Obligated to Provide a Warehouse Receipt to Complainants Which MTL Failed to Do

On this issue, the Presiding Officer is respectfully referred to Proposed Findings of Fact Nos.: 38-41 above. Proposed FF # 38 explains at paragraph "(C)(iii)" of the tariff that MTL was obligated to provide a Vehicle Receipt to the shipper or its agent upon the warehouse receiving the vehicle to be exported. Proposed FF # 41 explains that during discovery in this matter, MTL failed to provide any proof that the MTL warehouse's Vehicle Receipt and Inspection Sheet for the Mercedes and Porsche was actually provided to complainants.

Accordingly, any monies allegedly due and owing to MTL for the storage of the Mercedes would be due after it was exported.³⁶ Instead, MTL exported the car to Dubai and sold it and as explained by Alla Solovyeva, the cars were exported to Dubai for sale by Car Express & Import Inc. "...pursuant to Clause 15 of the MTL House Bill of Lading..." and that the Mercedes "...was sold pursuant to Clause 15 of the MTL House Bill of Lading...for unpaid freight and other charges owed by plaintiffs...". Instead of billing and/or invoicing complainants for freight and other charges, MTL billed and invoiced RFG for the ocean freight and other charges.

Further, and as set forth above, there is no evidence establishing that MTL actually provided accounting of charges allegedly due from complainants. Also, and as explained in pp. 12-15 of complainants' recently filed Motion for Discovery Related Sanctions (filed on January 27, 2021, Document 59 on this Docket) MTL continued to attempt to provide newly created false invoices for storage of the Mercedes.

³⁶ See Proposed FF# 104.

As set forth above, Solovyev admitted in his Declaration filed in Federal Court in the matter of MAVL, *supra*, that while Car Express had nothing to do with the Mercedes, in his deposition, he explained that at the request of a customer, he was shipping the Mercedes and Porsche as part of “a business for one of the customers in [the] U.S.A. [who asked Solovyev] to sell them in Dubai...”.

As to the Porsche, and as set forth above, this vehicle was purchased by IAM, an auto dealer, was owned by Maxim Ostrovskiy. IAM purchased the Porsche from AA Insurance Auto Auctions and was provided with the Certificate of Title for the car. The Bill of Lading from Y&N Towing Transport Inc. for the inland transport of the Porsche indicates pickup from the auto auction warehouse where it was purchased and delivery to MTL’s warehouse, with a handwritten note on a ‘Post It’ which reads: “Max Ostrovskiy” (See FF# 96 above). RFG also invoiced complainants the sum of \$700.00 for “Shipping to Kotka” as set forth above. IAM, paid \$10,000 directly to RFG for ocean freight and other charges for the Porsche and MB (Copies of the wire transfers from IAM to RFG are annexed to the Complaint as Exhibit “G”)

As set forth above, MTL never provided complainants with a statement of account regarding the payment in the amount of \$10,000 wired directly to RFG. Further, and as set forth above, there is no evidence establishing that MTL provided to complainants the invoices for ocean freight for the Porsche and Mercedes.

As set forth above, while the MTL House Bill of Lading indicates that the cars were consigned to Middle East Asia, FZE (“MEAA”) in Dubai, the owner of MEAA (to wit: Mr. Alexander Safonov) has stated under oath that MEAA neither purchased the cars nor ever wired monies to MTL or its related entities (such as RFG) for the purchase of the cars, and that MEAA’s only involvement with the cars were receipt, repair and storage of the cars in Dubai, at

MTL's direction and request. The documents on the record in this matter demonstrate that MTL provided MEAA with false proof of ownership of the cars (specifically invoices), wherein Car Express & Import Inc. ("Car Express") had purported to have purchased the cars (owned by complainants as stated above), from the auto auction known as "Copart". In response to a Subpoena, Copart has established that the invoices purporting to show that Copart allegedly sold the cars to Car Express, are fake.

All of the foregoing, together with the fact that MTL listed Car Express as USPPI for the export of the Mercedes and Porsche on the AES filing (together with other misrepresentations on the AES filing regarding the export value of the cars) establish that MTL violated the Shipping Act pursuant to a course of business occurring on a normal, customary, and continuous basis.

V. MTL'S ACTS AND OMISSIONS WITH REGARD TO THE MERCEDES AND PORSCHE COMPLAINED OF HEREIN ARE UNJUST AND UNREASONABLE

Without engaging in an *ad nauseum* repetition of MTL's blatant fraud upon complainants herein, together with other shippers in the related proceedings such as Crocus, *supra*, Samir, *supra*, Bestway, *supra*, as well as respondents' fraud upon the Federal Export Regimes (such as the U.S. Census Bureau and U.S. Customs), and the Commission and the Federal Courts with regard to their falsely created Copart invoices, fraudulent AES filings³⁷, and clear lack of any legal basis for exporting the Mercedes and Porsche to Dubai, suffice it to say that complainants have established that MTL'S acts and omissions with regard to the Mercedes and Porsche complained of herein are unjust and unreasonable. On this issue, MTL's list of sins, which also includes their failure to provide invoices and statements of account (for example for the \$10,000

³⁷ Here we again highlight the misrepresentations set forth in the AES filing regarding Car Express allegedly being the USPPI for the shipment of the cars, as well as MTL misrepresenting the export value of the cars, and MTL misrepresenting the Vehicle Title number of the Mercedes and instead, inputting in its place the license plate number for the car in the AES filing for the title field.

wired directly to RFG for the Porsche, and statements of account for payments allegedly due for storage of the Mercedes, and MTL's failure to provide complainants with invoices for ocean freight for the Mercedes and Porsche [FF#'s 110-112]) are set forth in detail above.

MTL's failure to follow instructions from complainants as to where to ship the cars are set forth in detail above, as is MTL's failure to provide any information whatsoever to Complainants as to the status of the Porsche for over two (2) years. As set forth above, MTL did not provide any notices regarding payments allegedly due for storage charges related to the Porsche, and only did so after it was already exported to Dubai (see, e.g. above explaining that the invoice for the Porsche was emailed on August 14, 2015 at 12:12 PM by Aleksei Igumnov on behalf of MTL to "MAVL Capital, Inc." at MAVL's email address of: mcyllc@gmail.com and this email was sent almost 2 years after MTL had actually exported this car).

As set forth above, MTL failed to provide any information regarding the Mercedes when Maxim Ostrovskiy visited MTL's storage site on or about June 1, 2013 and provided instructions to ship the Mercedes to Germany. As set forth above, MTL failed to inform complainants that MTL actually exported the two vehicles to Dubai.

As set forth above, after MTL allegedly sold the cars in Dubai, MTL failed to provide complainants with a statement of account as to how the monies realized from the alleged sale for applied to complainants' account.

VI. MTL'S ACTS AND OMISSIONS WITH REGARD TO THE MERCEDES AND PORSCHE COMPLAINED OF HEREIN ARE THE PROXIMATE CAUSE OF COMPLAINANTS' CLAIMED LOSS

As set forth above, complainants' loss of the Mercedes and Porsche placed into MTL's possession, custody and control has been described in detail. The cars were exported to Dubai and sold by respondents. Complainants never saw these cars again nor were they ever compensated for their loss. Complainants paid for the Mercedes prior to its import into the United States. The U.S. Customs Declaration for the import of the Mercedes valued the car at \$48,500.00. As to the Porsche, after complainants failed to deliver the Porsche to Sokolov Oleg Yuryevich, and pursuant to complainants' contract with Mr. Sokolov, complainants were forced to refund the \$67,000.00 to him, plus an additional penalty for failure to deliver, resulting in a total loss of \$98,088.00 for this car. IAM also lost \$10,000 paid directly to RFG for ocean freight and other charges.

CONCLUSION

In closing, complainants respectfully request that the Presiding Officer consider the above-described repeated violations of the Shipping Act during the course of respondents' business dealings with complainants and the ongoing nature of some of these violations, together with the facts that demonstrate that these violations occurred on a normal, customary, and continuous basis.

The Presiding Officer is asked to take note of respondents' normal, customary and continuous practice (while dealing with complainants herein, and others) of MTL's refusal and failure at all relevant times to, *inter alia*: a) follow the instructions of complainants regarding export of the cars; b) provide complainants with invoices and statements of account; and c) adhere to the rules and regulations of the Federal Export Regimes.

Consequently, and in light of respondents' repeated violations of the Shipping Act and the ongoing nature of some of these allegations it is respectfully requested that the Presiding Officer consider the foregoing, grant complainants such other and further relief as may be just and proper under the circumstances.

WHEREFORE, for the reasons set forth above, Complainants request that: (1) an order be made commanding said respondent to pay to Complainants by way of reparations for the unlawful conduct hereinabove described, the sums described herein, with interest and attorney's fees, costs and expenses, or such other sum as the Commission may determine to be proper as an award of reparation; (2) that the Commission issue an Order holding that the respondents Dmitry Alper individually, and Marine Transport Logistics Inc. violated the Shipping Act of 1984; and (3) that the Commission issue such other and further order or orders as the Commission determines to be just and proper.

Dated: March 17, 2021
Brooklyn, New York

Respectfully Submitted,

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CERTIFICATE OF SERVICE

I hereby certify that I have this day served the **COMPLAINANTS' REMAND BRIEF and APPENDIX** upon Respondents' Counsel at the following address:

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Dated: Brooklyn, New York
March 17, 2021